Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY and KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

Gas Safety Panel

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Case 19-G-0309
Case 19-G-0310

September 18, 2019

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I. Introduction

Q. Please identify the members of the Gas Safety Panel.

A. The Gas Safety Panel consists of Ross W. Turrini, Timothy S. Graham, and Annette M. Saxman.

Q. Is this the same Panel that testified previously in this proceeding?

A. Yes. Capitalized terms defined in the Panel's direct and corrections and updates testimony have the same meanings here.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The purpose of the Panel's rebuttal testimony is to respond to certain gas safety performance and program recommendations set forth in the prepared testimony of the Department of Public Service Staff ("Staff") Gas Infrastructure and Operations Panel ("SGIOP"), the Staff Pipeline Safety Panel ("SPSP"), the Staff Policy Panel ("SPP"), the Staff Efficiency and Sustainability Panel ("SESP") (collectively, "Staff"), as well as the New York City Gas Infrastructure and Safety Panel ("NYCGISP") and New York City Policy Panel ("NYCPP") (collectively, "NYC"), the Environmental Defense Fund's witness Joseph Von Fischer ("EDF"), and the Sane Energy Project's witnesses Kim Fraczek and Lee Ziesche ("SEP").

Specifically, the Panel's rebuttal testimony will address:

- The Companies' record of continuous improvement in gas safety performance since 2015;
- The benefits of performance incentives in promoting further improvements to gas safety;
- Staff's and other parties' recommendations regarding the Companies' gas safety metrics and incentives;
- Staff's and other parties' recommendations regarding the Companies' incremental gas safety programs and enhancements; and
- Staff's and other parties' other recommendations regarding gas safety, including: gas safety reporting, NYC's Local Law 152, inside meter relocations, and SEP's radon concerns.

Q. Does the Panel sponsor any exhibits as part of its rebuttal testimony?

A. Yes. The Panel sponsors the following exhibits that were prepared under its direction and supervision:

- Exhibit __ (GSP-1R): Relevant Information Request ("IR") responses in this proceeding;
- Exhibit __ (GSP-2R): 2018 Damage Prevention Metrics Annual Report and Most Recent Damage Prevention Analysis Quarterly Report Transmittal Letter;

- Exhibit __ (GSP-3R): Companies' Damage Prevention IR Responses in Case 13-G-0314; and
- Exhibit __ (GSP-4R): Relevant portions of the Companies' Implementation Plan filed on May 16, 2016, and the Companies' Updated Plan filed on March 8, 2018, in Case 13-G-0314.

II. Companies' Record of Continuous Improvement in Gas Safety

A. Commitment to Overall Improvements in Gas Safety

Q. Before discussing the SGSP's and other parties' specific proposals on safety performance measures and the Companies' incremental safety programs, would the Panel like to comment generally on the Companies' commitment to safety and compliance?

A. Yes. The Companies have worked diligently to develop a culture where safety and compliance are paramount. The Companies have focused on people, processes, systems, and technology to reinforce the National Grid commitment to safety and compliance. As is stated in the Companies' direct testimony, these commitments are reflected in improvements the Companies have made, including: additional field inspections; damage prevention enhancements; investments in technology solutions through the Gas Business Enablement Program; efforts to enhance training and simplify procedures and practices in the field; and efforts to implement the American Petroleum Institute's

recommended comprehensive risk identification and management framework (Recommended Practice 1173 ("RP 1173")).

The Companies' efforts have resulted in improvements in safety performance since 2015, and the Companies are committed to further progress. The Companies' first priority is the safety of our customers, communities, and employees, and we are continuously seeking opportunities to enhance our pipeline safety management processes. To that end, the Companies' proposals set forth in the Panel's direct testimony, including incremental safety programs, performance metrics that are challenging, and incentives that encourage the Companies to exceed regulatory requirements, will help the Companies to drive continuous performance improvements over the next several years.

Q. Please respond to NYC's comments questioning the Companies' ability to safely and prudently manage its system and capital budget.

A. NYC questions the Companies' "ability to safely and prudently manage" their gas systems and capital budgets based on a recent Order to Show Cause issued by the Commission in Case 17-G-0317 ("Order to Show Cause"). (NYCGISP at 75). NYC uses the mere issuance of the Order to Show Cause to support its argument that the Companies should not be allowed to adjust their Gas Safety Performance Measures and posits that increased penalty exposure "could be

justified in light of the allegations in the Order to Show Cause." (NYCGISP at 74, 76).

Q. Do the Companies believe that the Order to Show Cause should be considered when reviewing the capital budgets and gas safety metrics subject to these rate proceedings?

A. No. It would be premature and inappropriate to consider the Order to Show Cause in these proceedings. The Order to Show Cause was issued on July 12, 2019, a little over two months ago. The proceeding has not been developed further than the Commission's Order to Show Cause and Staff's list of alleged violations. The Companies intend to respond to the Order to Show Cause within the next month to rebut certain allegations and demonstrate why administrative penalty and prudency proceedings are not warranted. Therefore, it would be inappropriate to draw inference from the alleged violations in the present rate cases as the Companies have not yet responded to the allegations and the allegations have not been fully vetted. Rather, the Companies' actual record of safety performance and compliance improvements that is presented in the Panel's direct testimony and discussed further below should be the basis of recommendations in this proceeding.

B. Improved Performance Against Gas Safety Regulation Measures

Q. Please discuss the Companies' recent compliance performance efforts.

A. The Companies have demonstrated continuous improvement through a steady decline of audit violations over the past several years, as is shown in the Panel's direct testimony at pages 7-8. Indeed, pursuant to Staff's recently-completed review of 2017 field audit and 2017 records audit results shown in Exhibit __(SGIOP-7) at 2 and 11, KEDLI incurred only one High Risk violation, and KEDNY incurred 15. Moreover, based on the level of improved performance during 2016, KEDNY earned a 100 percent reduction to the remaining negative revenue adjustments ("NRAs") that resulted from the 2013 and 2014 audits under a mechanism agreed in the 2016 KEDNY and KEDLI Rate Cases. The Companies are committed to continuing these trends.

Q. Please explain the reduction to KEDNY's NRA balance that has been earned.

A. Section IV.8.6 of the Joint Proposal adopted in the 2016 KEDNY and KEDLI Rate Cases included a mechanism "to promote compliance improvements" to allow a downward adjustment of $1.2 million in NRAs incurred from the 2013 and 2014 audits if KEDNY met certain reductions in high-risk violations in the 2016 field audits and 2017 audits of the Companies' 2016 records. As is indicated by Staff's August 21, 2019 letter (Exhibit __ (SGIOP-6) pages 1-2),

the final determination of the 2016 audits results was 16 high risk violations. Pursuant to the mechanism, KEDNY earned a reduction of the entire $1.2 million NRA.

C. Achievement of 2018 Damage Prevention Metric

Q. Is the SPSP correct that the Companies did not achieve their Damage Prevention Metric targets in 2018 and earned NRAs as a result?

A. No. The SPSP is incorrect. KEDNY and KEDLI met their 2018 Damage Prevention Metric targets that were established in the Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases.

The Companies' results against the targets appear in Table 1, below, and were provided in the response to IR DPS-668 that is included in Exhibit __ (GSP-1R).

Table 1: 2018 Damage Prevention Metric Performance Against Targets

KEDNY 2018	PSC Performance Targets	National Grid Final CY Performance
Mismarks	0.42	0.34
Co. & Co. Contractors	0.09	0.01
Total Damages	1.87	1.17

KEDLI 2018	PSC Performance Targets	National Grid Final CY Performance
Mismarks	0.60	0.49
Co. & Co. Contractors	0.13	0.09
Total Damages	2.48	1.70

Q. Is NYC correct that the Companies misrepresented or artificially deflated their 2018 Damage Prevention Metric Results?

A. No. KEDNY and KEDLI reported their Damage Prevention Metrics results properly to Staff as required by the 2016 KEDNY and KEDLI Rate Cases.

Q. Why do the SPSP and NYC believe that the Companies did not achieve their Damage Prevention Metric targets?

A. Both the SPSP and NYC are reviewing the wrong damage prevention data and are applying the wrong data to the Companies' Damage Prevention Metric targets.

Q. Please explain.

A. All three of National Grid's New York gas local distribution companies ("LDCs") – KEDNY, KEDLI, and Niagara Mohawk – report *two sets* of

damage prevention data to the Commission for two different purposes, each of which is calculated differently, as explained below:

(i) Damage Prevention Performance Metric: This metric is set forth in the Joint Proposal adopted by the Commission in the 2016 KEDNY and KEDLI Rate Cases and is calculated pursuant to the historic methodology used to set the targets in those proceedings. As explained in the direct testimony of the Companies' Gas Safety Panel in the 2016 KEDNY and KEDLI Rate Cases (at 49-50), the metric excludes "retransmit" tickets and includes coating damage, both of which resulted in an adjustment to the damage prevention targets. The metric does not, however, reflect any changes to the Companies' historic practice of *including* "relocate" tickets in the ticket count used to set the targets for the metric.

(ii) Quarterly Damage Prevention Analysis: This metric is calculated pursuant to the recommendations from the Case 13-M-0314 operational audit ("Data Audit") that are set forth in Staff's December 11, 2015 letter (Exhibit __ (SPSP-8)). This data is submitted quarterly to Staff for analysis purposes only and is the data Staff included in its 2019 Gas Safety Performance Measures Report in Case 19-G-0298. In contrast to the Damage Prevention Performance Metric, this metric excludes "relocate" tickets. Additionally, it also includes forms of damages that have historically not been included in the Damage

Prevention Performance Metric (damages with no ticket by homeowners and non-company contractors digging with hand tools).

Exhibit __ (GSP-2R) includes: (i) the Companies' 2018 Annual Gas Safety Performance Metrics Report that includes the Companies' performance against the Damage Prevention Metric, and (ii) the most recent quarterly Damage Prevention Analysis submission transmittal letter. The Analysis data is provided to Staff in zip files along with the transmittal letter, and the transmittal letters clearly state that the information provided is different from the data included in the Companies' Damage Prevention Performance Metric. (Exhibit __ (GPS-2) at page 8). The Damage Prevention Analysis data that was provided for 2018 is set forth in the Companies' response to IR DPS-134 that is included in Exhibit __ (GSP-1R).

Q. Are Staff and the Commission aware of the differences in how these two metrics are calculated?

A. Yes. The Companies explained the differences in calculating these two metrics in its Implementation Plan filed in Case 13-M-0314. Specifically, the Implementation Plan, relevant portions of which are included in Exhibit ___ (GSP-4R), states: "KEDNY and KEDLI's Quarterly Performance Filing excludes retransmits from the ticket count, and the proposed damage prevention

targets in the 2016 Rate Cases reflect this exclusion as well." However, "[r]elocate tickets are included in the one-call ticket count for purposes of measuring KEDNY and KEDLI's damage prevention performance." The Commission approved the Implementation Plan in its *Order Approving Implementation Plans* in Case 13-M-0314, directing the Companies to implement the plan as approved.

At the request of Staff, the Companies agreed to exclude relocates for purposes of the Quarterly Damage Prevention Analysis. Specifically, in the response to IR DPS-025 in the Data Audit and the Companies' Updated Implementation Plan in the Data Audit, the Companies indicated their agreement to exclude "relocates" from the one-call ticket count for purposes of the Quarterly Damage Prevention Analysis, beginning with the first quarter report in calendar year 2018, but made clear that, for purposes of the Damage Prevention Performance Metric, the Companies would continue to include "relocates" in the one-call ticket count, consistent with the methodology used to establish the targets in the Joint Proposal. Copies of the response to IR DPS-025 and the Companies' Updated Implementation Plan are included in Exhibit ___ (GSP-3R) and Exhibit ___ (GSP-4R), respectively.

For these reasons, Staff's assertion is simply wrong, and the Companies' approved Implementation Plans belie Staff's claims. The data in the Quarterly Damage Prevention Analysis is reported by the Companies to the Commission for analysis purposes only and has never been adopted for purposes of the Damage Prevention Performance Metrics for any of National Grid's three New York gas LDCs. As is stated in the Companies' responses to IRs DPS-157 and DPS-668, copies of which are included as Exhibit __(GSP-1R), both KEDNY and KEDLI achieved their Damage Prevention Performance Metric targets for the past five years, including 2018.

Q. If the Commission were to require the Companies to exclude "relocates" in the one-call ticket count for purposes of calculating the Damage Prevention Performance Metric, would the targets proposed by the Companies in these rate filings require modifications?

A. Yes. The baseline used to calculate the targets included "relocates" in the ticket count. Adjusting the baseline to exclude them would necessitate changes in the targets and would require additional resources. As discussed in section IV(C), below, the Companies do not believe that "relocates" should be excluded from the metric.

III. Gas Safety Measures Performance Targets and Incentives

A. Goals of Gas Safety Performance Targets and Incentives

Q. What is the purpose of gas safety metrics and performance targets?

A. The Companies' current rate plans establish certain metrics and performance targets to ensure that the Companies meet their regulatory requirements to provide safe and reliable service to customers. The metrics measure the Companies' performance across various activities, ranging from LPP removal to emergency response, and are designed to ensure accountability to customers. Metrics may include positive revenue adjustments ("PRAs") or NRAs if the Companies' performance varies from established levels. NRAs serve to penalize the Companies for underperformance, while PRAs incent the Companies to overachieve base expectations and deliver incremental improvements. Inclusion of corresponding adjustments is important to drive performance and support public policy objectives.

Q. Please explain why inclusion of PRAs and incentives are appropriate.

A. PRAs do not simply reward the Companies for basic operations or business as usual activities. PRAs incentivize the Companies to perform additional work and provide enhanced services, whether it be incremental leak repair or LPP removal, that ultimately benefit customers and the community and further align the Companies' performance with public policy objectives. Appropriately

challenging PRAs support continuous improvement and superior performance with the goal of exceeding customer expectations and industry standards.

Q. What is the Companies' position on the SPP's proposal for an overall safety and reliability capital investment productivity metric in lieu of the LPP unit cost productivity incentive?

A. The Companies believe the LPP unit cost productivity incentive is an appropriate mechanism to encourage better cost management for the proactive LPP retirement program, assuming the targets are set appropriately based on current unit costs. The Companies are interested in the SPP's proposal for a broader capital program metric that could complement the existing net plant tracker. The Companies do not agree that the LPP productivity incentive should be removed; an overall capital program productivity metric could be designed to exclude the LPP retirement program productivity to avoid any overlap.

Q. Are metrics appropriate for a one-year rate plan?

A. No. The gas safety performance metrics are designed to drive performance improvements over time. To that end, the Companies' proposals for performance metrics contemplate a multi-year rate plan. The Companies do not agree with the inclusion of performance metrics in a one-year litigated case. Indeed, the Companies submit that their consistently high level of performance

should provide the Commission with sufficient comfort that service will not be diminished in a one-year rate plan.

B. <u>Distribution of NRA Exposure Among Various Metrics</u>

Q. Does the SPSP support the Companies' proposal to better allocate the NRA basis points across the categories of performance targets?

A. Yes. Staff supports the Companies' proposal to re-allocate 25 of the 100 basis points previously assigned to the Gas Regulations Performance metric across the other metrics (LPP replacement, Leak Management, Damage Prevention, and Emergency Response). This leaves a total of 75 basis points still assigned to the Gas Regulations Performance Metric. (SPSP at 62-63).

Q. Please respond to NYC's opposition to redistributing the basis points.

A. NYC's general concerns seem to stem from the Order to Show Cause that, as noted above, is procedurally in its infancy and is not reflective of the Companies' actual performance and recent improvements in the areas of gas safety compliance. As SPSP notes, redistributing the basis points at risk appropriately balances the Companies' exposure among the safety performance measures and is consistent with what has been approved for other gas utilities. (SPSP at 62-63). The Gas Regulations Performance Metric would still carry the greatest exposure for NRAs; the highest exposure from any other metric would be 25

basis points. Thus, the Companies' proposal carries substantial weight to continue to drive improvements in this area, and, based on the Companies' recent performance record against this metric, there is no basis to increase penalty exposure.

C. Use of NRA Deferral Balances to Fund Safety Programs

Q. Please explain the Companies' NRA deferral balances.

A. The Companies' current rate plans contain several gas safety metrics to ensure the provision of safe and reliable service to customers. The Companies' performance relative to those metrics is tracked annually, and failure to meet the metrics can result in NRAs, which are deferred for future customer benefit.

Q. How have the Companies historically used NRA deferral balances?

A. The Companies have historically used NRA balances to fund designated safety programs for the benefit of customers. Such treatment is consistent with how other utilities across New York State, including Consolidated Edison and Niagara Mohawk, have used such deferral balances. In the 2016 KEDNY and KEDLI Rate Cases, the Joint Proposal approved by the Commission specifically provides that "[a]ny Gas Safety Performance Metrics negative revenue adjustments incurred by KEDNY [and KEDLI] will be deferred for future use in incremental safety programs." For example, Niagara Mohawk is

currently using NRA deferral balances to fund its Residential Methane Detection program and for GPS mapping of gas facilities.

Q. What are the SPSP's recommendations for the use of KEDNY and KEDLI's NRA deferral balances?

A. The SPSP recommends that the Companies use the NRA deferral balances to fund the Companies' proposed Expanded Residential Methane Detector, I&R Control Line Survey and GPS Mapping, and Low Pressure Valve Installation Programs and, in consultation with Staff, that the Companies submit a plan for using NRA balances to fund additional incremental safety programs. (SPSP at 60-61).

Q. Do the Companies agree with the SPSP's recommendations?

A. As is stated in the Panels' direct testimony at page 14, the Companies support using portions of the deferral balances to fund the Residential Methane Detector Program and the Incremental I&R Control Line Survey and GPS Program. The Companies maintain that, for a one-year rate plan, these programs should remain in rates. The Companies address the Low Pressure Valve Installation Program separately below.

Q. Do any other parties have specific proposals regarding the Companies' current NRA balances?

A. Yes. NYC recommends that the Companies' immediately return their full historic NRA balances to customers with interest, arguing that the balances should be returned to customers because of their age and that NRAs should not be conditioned on specific capital programs. (NYCGIOP at 77).

Q. Do the Companies agree with NYC's position?

A. No. The Companies believe the practice of deferring gas safety related NRAs for future investment in gas safety programs should continue. Use of NRA deferrals for gas safety programs allows the Companies to fund important safety programs for the benefit of the customers and communities served, while also mitigating increased rate requests that would normally accompany such incremental programs. This allows the Companies to enhance the benefits provided to customers without increasing customer bill impacts. Immediate return of the full balance of the NRA deferrals, as NYCGISP suggests, would merely provide a one-time credit on customer bills without providing the funding required for, or benefits of, the incremental gas safety programs proposed.

The NYCGISP testimony also appears to draw a negative inference from the fact that the Companies are not proposing to utilize the full NRA balances at this time. Immediate use of the full balances, however, would be short-sighted as the gas industry, and the safety regulations that govern it, are constantly evolving. The Companies need the ability to react quickly and implement programs in response to these evolving regulatory and customer needs. By leaving a portion of NRA balances in deferrals, the Companies are positioning themselves to respond timely to future regulatory mandates and implement corresponding programming that will directly benefit customers. Therefore, the Companies propose to continue the accounting treatment and use of NRA funds in the manner established in prior rate cases.

IV. Safety Metric Recommendations

A. Leak Prone Pipe Retirement

i. LPP Targets and Prioritization

Q. Does the SPSP agree with the Companies' proposed annual LPP retirement targets and prioritization methodology for retirement of LPP?

A. Yes, the SPSP supports KEDNY's proposal to continue its five-mile per year acceleration of LPP retirement and KEDLI's proposal to maintain its CY 2019 LPP retirement level of 155 miles per year, though the SPSP does not present an opinion on cumulative targets for a multi-year rate plan. (SPSP at 20). The

Companies reiterate that a cumulative target for a multi-year rate plan is appropriate to allow for construction flexibility and efficient use of resources and is aligned with the LPP retirement target metric in place for the Companies' upstate affiliate, Niagara Mohawk.

Moreover, the SPSP supports KEDNY's risk-based method for prioritizing the highest-risk LPP for retirement based on multiple risk factors. (SPSP at 15-16).

Q. Please discuss NYC's recommendation that the Companies accelerate retirement of low pressure LPP that is located in FEMA 500 and 100-year floodplains.

A. NYC recommends that the Companies be required to replace all LPP located in FEMA 500 and 100-year floodplains within 10 years. While NYC expresses opposition to incentives for all other gas safety metrics, including incentives for the general retirement of additional LPP, NYC proposes an incentive to encourage accelerated LPP retirement in floodplains. (NYCGISP at 25-26).

Q. Do the Companies currently replace LPP in floodplains?

A. Yes, as NYC notes, the Companies have made a modification to their main prioritization algorithm, procedure ENG04030 "Identification, Evaluation and Prioritization of Distribution Main Segments for Replacement" that assigns a

higher weight to LPP mains in floodplains. This will help replace the LPP mains in floodplains earlier but will not guarantee completion of these replacements in ten years. In addition, the Companies have identified several pockets of low-pressure LPP in floodplains that the Companies intend to replace to uprate the network to high pressure over the next five years. The Companies also note that all of the LPP and low-pressure main has been replaced west of Bay 32nd Street in the Rockaways, which was an area hit particularly hard during Superstorm Sandy. Therefore, the Companies maintain that increased acceleration to replace LPP in floodplains is unnecessary.

Q. How would further acceleration of LPP retirement in the floodplains impact the Companies' proactive LPP retirement program?

A. To specifically target and accelerate more retirements in the floodplains, the Companies may need to defer or delay the replacement of higher-risk pipe in other regions. This is not recommended. The Companies' acknowledge NYC's concern that water intrusion caused by flooding can result in shutoffs and relights that can take time (NYCGISP at 23); however, the risks of possible failures on riskier segments of pipe experiencing condition issues, or of older vintages than those in floodplains, outweigh re-light concerns. Moreover, the Companies' program to install automatic flood-sensing shutoff valves in the floodplains over the next several years will provide instant information of the

number of customers impacted by flooding that can help inform and make more efficient the Companies' service restoration and re-light processes.

In short, the Companies believe that their existing risk-based prioritization model is the best approach for meeting the goal of retiring all LPP within floodplains.

Q. Is NYC correct in its belief that low pressure LPP retirement in the floodplains could be accelerated and replaced within 10 years at no additional cost?

A. No. NYC reasons incorrectly that the pace of replacements in the floodplains over the past several years would be representative and that the Companies would therefore easily meet NYC's targets within the proposed program budgets. First, some of the Companies' low-pressure main that is located in floodplains are part of extensive low-pressure networks that have no high-pressure mains nearby to facilitate easy conversion and, therefore, would be challenging to address over a shorter period of time from a resource perspective. Second, because the Companies' prioritization model is risk-based and the work plan is established each year for the following year, there is no guarantee that the historic pattern of replacements in floodplains will repeat in future periods. Riskier segments may be more concentrated outside the floodplain in

any given year depending on the totality of circumstances. The Companies would lose efficiencies of coordinating LPP replacements with municipal projects and other company work across the Companies' territory if they were required to target floodplain work over other work, which could increase costs. Third, because of the volume of work that would need to be done in these more concentrated areas, municipal permitting stipulations could slow the pace of the work and require additional resources to enable the Companies to meet targets. For these reasons, the Companies believe that NYC's proposal would require incremental resources.

ii. <u>LPP Incentives</u>

Q. Please explain Staff's position regarding the Companies' proposals to retain the current PRA for LPP removal adopted in the 2016 KEDNY and KEDLI Rate Cases.

A. The SPSP recommends enhancing the NRAs and removing the PRAs for LPP removal. (SPSP at 20-21). The SPP cites Governor Cuomo's newly enacted Climate Leadership and Community Protection Act to support its recommendation, noting that the incentives provided to natural gas utilities in the areas of gas safety and reliability should be "appropriate and produce desired outcomes." (SPP at 35-36). The SPP also cites the increased costs in

the Companies' capital programs associated with LPP removal in support of its recommendation.

Q. Do any other parties make recommendations regarding the Companies' LPP incentives proposals?

A. Yes. NYC opposes the LPP removal PRA, claiming the Companies have not provided justification for rewarding additional main replacement or established "a compelling need" to increase the costs to customers to fund the PRA in this area. (NYCGISP at 53).

Q. Do the Companies agree with the recommendations of the SPSP and NYC?

A. No. The recommendations to remove the LPP removal PRA is entirely counterintuitive to the policy and safety goals discussed throughout the Staff and NYC testimonies.

Q. Please explain why the Companies believe retention of the PRA for LPP removal is appropriate.

A. PRAs are intended to incentivize companies to engage proactively in work that will ultimately benefit customers. It is undisputed that prioritizing LPP removal is Commission policy and required across the Companies' service territories to not only provide a safer, more resilient system for customers, but also advance

clean energy objectives, including methane reduction. Indeed, the SPSP acknowledges that removal of LPP is important to reduce the environmental risks and potential safety hazards created by leaks on the gas system. (SPSP at 13). The SPSP outlines additional benefits of LPP removal that result in cost savings to customers, including reduction in O&M and emergency response costs required to respond to leaks. (SPSP at 15). Despite extensively detailing the array of benefits associated with LPP removal, however, Staff and NYC are unwilling to fund incentives supporting incremental, proactive targets to further advance LPP removal.

This inherent contradiction in Staff and NYC's positions is further highlighted in Staff's discussion regarding complete LPP removal. Current statewide goals target complete elimination of LPP from each natural gas utilities' system. The SPSP notes that, at current removal rates, the Companies' LPP removal programs would be completed by approximately 2038. (SPSP at 19). The SPSP also notes that the "costs to customers for removal in later years will certainly be more than the removal of that same pipe now." (SPSP at 20). If complete LPP removal is truly a focus of all parties, it would seem more prudent and cost effective to proactively address more LPP now, when the costs of LPP removal are less than the inflated rates projected for future years, through PRAs and incentives rather than wait to address LPP removal in subsequent years. The

Companies are already proposing to increase their LPP removal targets by five miles per year and additional incentives to encourage the Companies to stretch beyond those targets will help to further advance LPP removal across the system in furtherance of safety and policy goals.

B. Leak Backlog Metric

i. Leak Backlog Metric Targets and Incentives

Q. What are the SPSP's proposals for modification of the Leak Backlog Metric?

A. The SPSP recommends the following changes to the Companies' proposed Leak Backlog Metric:

- Baseline target: Reduce the baseline leak backlog targets for CY 2020 based on averages of leak repairs for the past five years;
- Annual reduction: Retain flat target reductions each year of 150 leaks for KEDNY and 750 leaks for KEDLI, and remove additional target reductions based on repairs of high-emission Type-3 leaks;
- Workable leaks: Reduce annual target from 25 to 20 each year;
- Year-end target range: Set the year-end target range to December 26th – December 31st (in lieu of Companies' proposal of December 21st – December 31st); and

- Incentives: Ability to earn PRAs is based on total leak repairs, removing existing incentive for repairing high-emitter Type-3 leaks.

(SPSP at 28-30).

Q. Do the Companies agree with the SPSP's proposals?

A. No. The Companies believe the Leak Backlog Metrics they have proposed are challenging and strike the correct balance to drive reductions of the overall leak backlog while strategically targeting the highest emission Type-3 leaks to maximize methane emissions reductions from this program. The Companies respond specifically as follows:

- Baseline targets: The current Leak Backlog metric reduces the targets by 150 and 750 leaks each year for KEDNY and KEDLI, respectively. It is reasonable, therefore, to set CY 2020 targets based on a 150 and 750 reduction from the 2019 targets as the Companies have proposed. Leak repair is reactive and unpredictable. Even as LPP is replaced with new main, the LPP that remains on the system is aging, and leaks are continuing to rise in KEDNY's service territory. The Companies' proposal is appropriately challenging, especially given the additional downward adjustment annually based on high-emitter Type-3 leak repairs.

- Annual reduction: The Companies support a fixed annual reduction. The proposal to further reduce the targets each year based on high-emitter Type-3 leak repairs was intended to work in conjunction with the Companies' proposed incentive structure, so that as the Companies earned incentives for repairing high-emitter Type-3 leaks, the metric would become more challenging the following year.
- Workable leaks: Past year-end backlogs are not necessarily representative of workable leaks that might arise. Workable leaks typically require more time and resources to repair, and, if too many arose near the end of the year, the Companies could struggle to meet a lower metric. The existing target of 25 leaks per year is challenging and reasonable.
- Year-end target range: The SPSP gives no justification for reducing the Companies' proposed 11-day target window to a 6-day target window. Again, new leaks can arise at any time and increase as the weather becomes colder. The Companies' leak repair performance could be excellent for nearly a year, yet the Companies would be at risk of missing their targets if too many leaks arise in the last month of the year without sufficient time to make repairs. Moreover, the Commission accepted a December 21st – December 31st target period recently for

Orange and Rockland Utilities, Inc. ("Orange and Rockland") in Case 18-G-0068.

- Incentives: The Companies strongly believe that the Leak Backlog Metric should continue to incentivize and provide cost recovery for repair of high-emitter Type-3 leaks. High-emission Type-3 leaks are typically harder to access and more expensive to repair but can have a more significant impact toward reducing overall methane emissions than repair of lower emitting non-hazardous leaks. The Companies' proposal works in conjunction with its proposal for an Enhanced High Emitter Methane Detection Program that the SPSP supports and that will deploy advanced leak detection technology to help the Companies identify the highest-emitting leaks. The Companies also believe that incentives for high-emitter Type-3 leaks as part of the Leak Backlog Metric help to address EDF's concerns about the structure of a backlog reduction metric.

Q. Should re-checks of Type-3 leaks be required to count Type-3 leak repairs in the metric?

A. No. As the SPSP notes in its testimony, although 16 NYCRR §255.819(a) requires a re-check inspection for Types 1, 2, or 2A leaks, there is no follow-up inspection requirement for Type-3 leaks. The SPSP has provided no

justification for requiring a follow-up inspection for Type-3 leak repairs, and this requirement would require the Companies to add considerable O&M resources that are not currently reflected in the proposed revenue requirements. Requiring deployment of crews back to every Type-3 leak repair adds costs without commensurate benefits.

Q. Do the Companies agree with NYC's proposal to eliminate the entire leak backlog in five years?

A. No. The Commission's safety regulations include deadlines for repairing Type 1, 2, and 2A leaks. The Companies re-iterate that Type-3 leaks are defined by regulation as non-hazardous and are reasonably expected to remain so. There are not sufficient benefits for removing all non-hazardous NYC leaks to justify the significant additional resources that would be required. NYC raises concerns regarding the costs of the Companies' proposed LPP retirement program; however, retirement of LPP is a far more effective strategy for reducing leaks, increasing public safety, and reducing methane emissions than repair of non-hazardous leaks. Yet NYC proposes acceleration of leak repair that would raise costs for customers without providing the benefits of the LPP retirement program.

Q. Please summarize EDF's proposal to change the leak backlog metric to an emissions reduction metric.

A. EDF's proposal is to change fundamentally the structure of the leak management from a leak backlog measure to an overall methane reduction measure. EDF recommends that the Companies use advanced leak detection technology (essentially the cavity ring-down spectroscopy ("CRDS") technology mounted on a Google car) to conduct a baseline survey of the Companies' entire service territory to establish a baseline methane emissions level and then to establish a target, such as a 50 percent reduction of emissions, to be achieved over a fixed period, such as five years. EDF acknowledges that a baseline survey could take time and recommends that the existing metric structure stay in place until such time as the new metric could be developed. (EDF at 30-35).

Q. Do the Companies agree with EDF's proposal?

A. No, not at this time. The Companies are prioritizing overall methane reductions, as is demonstrated by the Future of Heat Panel's testimony, their commitments to retire their remaining LPP inventory, and enhanced identification and targeting of high emission Type-3 leak repairs.

The Companies maintain, however, that the advanced leak detection technology is not yet sufficiently reliable to form the basis for a new metric for reasons that are discussed in further detail in section B(2) below. The Companies' agree that they should *begin* to integrate CRDS technology into their arsenal of tools to combat methane emission, via their proposed Enhanced High Emitter Methane Detection Program. This program provides for deployment of Google car-mounted CRDS technology operated by contractors in each of KEDNY's and KEDLI's service territories to prioritize high emission leaks for repair in limited areas already know to have a high leak concentration. Even if the Companies believed that the technology could produce a reliable baseline measure, to achieve a full baseline survey of the Companies entire service areas that EDF proposes would require significantly more contractor resources to cover each territory and to conduct multiple passes required to obtain a sufficient data set, plus additional incremental Company full-time equivalents ("FTEs") to process and analyze data, and manage the program. Given all factors including the limitations of the technology and costs, the Companies believe a more measured approach during the Rate Year and Data Years is more reasonable than rushing toward a new metric. The Companies' proposed Enhanced High Emitter Methane Detection Program supports use of the Google Car/CRDS technology in a more reasonable way and can provide an opportunity to further evaluate this technology.

ii. Leak Survey Techniques

Q. Can advanced leak detection technology such as CRDS replace the Companies' existing leak survey methods?

A. Not at this time. Importantly, the Commission has not approved CRDS or any other advanced leak detection technology for use to conduct required leak surveys. At best, from a regulatory standpoint, the Companies can begin to deploy these technologies to supplement and enhance their traditional programs, as the Companies have proposed via their Enhanced High Emitter Methane Detection Program.

Additionally, although the Companies acknowledge that advancements have been made and utilities are beginning to integrate these technologies, the Companies' findings during recent pilots of the technology did not result in a high level of confidence in their accuracy. Indeed, EDF's testimony notes one of the flaws that the Companies identified – that the number of leaks detected by the technology can vary greatly in the same location depending on the weather. (EDF at 15). The Companies' findings are set forth in detail in the Niagara Mohawk's Methane Reduction Efforts Report for 2018 that was submitted on March 15, 2019, in Case 17-G-0239. As is stated above in response to EDF's metric proposal, and in the Companies' response to IR UIU-51, part (e), a copy of which is included in Exhibit __(GSP-1R), the Companies

have proposed to expand use of these technologies, but they are not a substitute for traditional leak survey.

Q. Do the Companies agree with NYC's recommendation that the Companies should adopt the same leak survey techniques and frequencies in their New York City service areas as Consolidated Edison Company of New York, Inc. ("Con Edison") deploys?

A. No. Con Edison has chosen to deploy more frequent walking surveys and monthly low-speed surveys that exceed regulatory leak survey requirements. KEDNY and KEDLI have also deployed strategic leak survey techniques that exceed regulatory requirements to enhance customer safety, but in a different manner than Con Edison. For example, the Companies have an enhanced leak survey procedure for the winter months when leaks are more likely to occur. The procedure includes:

- more frequent patrols of all cast iron distribution mains (an average of 14 days and not to exceed 20 days) beginning in either late December or early January regionally depending on weather patterns and cast-iron break history; and
- additional surveillance when the seven-day frost degree days (daily average temp over seven consecutive days) is below 27 degrees Fahrenheit.

The fact is, Con Edison, KEDNY, KEDLI, and other utilities across the state deploy various and differing safety enhancement programs. Although the utilities in the state often collaborate and share best practices through organizations like the Northeast Gas Association ("NGA"), to *require* uniformity across neighboring service territories for programs that exceed regulatory requirements would be burdensome and costly and it would disincentivize innovation and chill the pursuit of discretionary safety enhancements.

C. <u>Damage Prevention Metric</u>

Q. Setting aside the SPSP's misunderstanding of how the Companies' current Damage Prevention Performance Metric is calculated, what are the SPSP's recommendations for adjusting the metric targets?

A. The SPSP supports the Companies' proposal to revise the metrics to measure overall damages rather than splitting the metric into three categories. (SPSP at 41). The SPSP recommends adjusting the targets to levels that are higher than the targets the Companies proposed for both KEDNY and KEDLI. The SPSP's targets are also uniform for KEDNY and KEDLI, whereas the Companies had proposed generally lower, more challenging targets for KEDNY. (SPSP at 42-43).

Q. What is the Companies' recommendation for the Damage Prevention Performance Metric?

A. The Companies recommend retaining the current metric structure and calculation methodology, which includes relocates and excludes damages that have always been excluded from the Companies' Damage Prevention Metric – damages by homeowners with no ticket and damages by non-company contractors digging with hand tools with no ticket – with the more challenging targets proposed by the Companies. This is the most balanced measure of damage prevention results that exposes the Companies to NRAs.

Although the Companies acknowledge that they are able to reduce instances of third party (non-company or company contractor excavators digging with hand tools) damages, there will always be some third parties who will excavate without calling 811 to generate a ticket. It is useful to review data regarding the number of damages occurring without a ticket to inform improvements to the State one-call systems and programs and drive improvements to external outreach, which is why the Companies have agreed in the past to provide this data for analysis purposes. It is unfair, however, to penalize the Companies financially for the actions of third parties that are outside the direct control of the Companies.

Additionally, the Companies should receive credit for relocates because relocates are treated like a new ticket for purposes of Companies' responses (as if the first ticket was never issued). Indeed, relocates are generated by the same requesting party at the same location, but could be generated months after the first ticket was issued. For the downstate New York One-Call Notification System, a "relocate" occurs when the One-Call Center issues a ticket and KEDNY and KEDLI respond and mark-out their facilities. Thereafter, the excavator contacts the One-Call Center to issue a second ticket, or a "relocate," for KEDNY and KEDLI to re-mark their facilities (*e.g.*, where the excavation is delayed to the point that the original mark-out is no longer reliable or valid (*i.e.*, beyond the ten-day limit) or conditions such as weather or construction cause the original markout to fade or disappear). Although the ticket has the same requesting party and location, this is not a "retransmit" because KEDNY and KEDLI must respond again and relocate and re-mark their facilities as if they had not been located and marked in the first instance. Indeed, from a safety standpoint, treating relocates as new tickets is a best practice, and exclusion of these from the metrics could create a perverse incentive for the Companies to focus less on relocate responses. Because the Companies' response to relocates is the same as for all other tickets, and, to encourage further improvements in damage prevention, they should continue to be counted in the Companies' metric.

Q. Would excluding relocates from the KEDNY's and KEDLI's Damage Prevention Performance Metric help to drive uniformity in how the metric is measured in New York?

A. No. The two One-Call Centers in New York, Dig Safely New York (covering upstate New York), and New York 811 (covering downstate New York) do not have consistent rules and classify tickets differently. A "relocate" ticket in upstate New York is not the same as in downstate. Analysis of statewide data shows that "relocates" make up more than 50 percent of the downstate ticket volume, and yet, none of the upstate utilities come anywhere close to that same percentage, which demonstrates that this is not an apples-to-apples comparison. Therefore, the SPSP's recommendations to attempt to treat relocates the same statewide for purposes of performance metrics is flawed and unfair as there is no standardized way the two One-Call Centers receive, classify, and then send the 811 tickets to their members.

KEDNY and KEDLI should continue to be judged by how they improve year-over-year from their own previous performance, not by how the Companies perform compared to other gas operators in New York. The only fair way to continue to do that and apply smart, measurable, and attainable performance measure goals for the Rate Year and Data Years is to continue to allow the

Companies to follow the same metric calculation they have for over a decade, but make the targets for that metric more challenging. This is precisely what the Companies have done in their metric proposals.

Q. If the Companies adopted Staff's proposed changes to the damage prevention metric, would the Companies require additional resources to meet the targets?

A. Yes. The amounts included in the Companies' rate plan, including the Companies' forecasts for the Enhanced Damage Prevention Program that is described on pages 31-34 of the Panel's direct testimony, assume the current metric structure. If the structure were to change, the Companies would need to devote additional incremental resources to these programs to meet Staff's proposed targets.

D. <u>Emergency Response Metric</u>

Q. Does the SPSP support the Companies' proposed Emergency Response Metric and the addition of incentives to the Metric?

A. Yes. The SPSP supports the Companies' proposal to maintain the existing Emergency Response targets, including the exclusion of mass odor calls from the metric, and to add incentives to the metric. The SPSP notes that incentives for emergency response have been approved for other utilities including Niagara

Mohawk, Central Hudson Gas and Electric Corporation, and Orange and Rockland. (SPSP at 50-51).

Q. Does NYC present alternative recommendation for the Emergency Response Metric?

A. Yes. NYC recommends an alternate target of 80 percent for the 30-minute response (a five percent increase in the target). NYC's basis for this adjustment is that Con Edison's emergency response 30-minute response performance has exceeded KEDNY's and KEDLI's in the past several years, and the Companies should be held to the standard of actual performance that Con Edison has set. (NYCGISP at 56-57).

Q. Do the Companies agree with NYC's alternate metric for the 30-minute response?

A. No. The Companies' Emergency Response Metric targets are aligned with Niagara Mohawk's and other New York gas utilities' targets – the targets are uniform statewide. It is inappropriate to continuously ratchet up gas safety metric targets based on performance that exceeds targets. This would create a perverse incentive for utilities to aim only to meet targets to avoid greater exposure to NRAs. The Companies' Emergency Response Metric Target is reasonable and appropriately challenging.

Q. Is NYC correct in its belief that the Companies could achieve a higher target for the 30-minute response without the need for additional funding?

A. No. Emergency response is reactive and is driven by leaks that are unpredictable from year to year. To ensure that the Companies were able to meet stricter targets, the Companies would need to add resources.

Q. Does NYC provide any other recommendations regarding the Emergency Response Metric?

A. Yes. NYC recommends that the Commission examine whether the metric should be measured based on when company personnel who are qualified to actually make a repair without calling for additional assistance arrives on the scene, rather than from when a company First Responder arrives on the scene. (NYCGISP at 58-59).

Q. Please comment on this recommendation.

A. The Commission has already determined that, for the purpose of reporting on the Emergency Response Metric, the response times are measured from the time the notification is sent from the company dispatch to the time of arrival of "qualified company personnel" at the location, and that "qualified company personnel" are defined as "company representatives who are properly trained and equipped to investigate leak, odor, and emergency reports in accordance

with accepted company procedures and 16 N.Y.C.R.R. §255.604; operator qualification requirements." *In the Matter of Staff's Analysis of Local Distribution Company Performance Related to the Pipeline Safety Measures*, Case 19-G-0298, 2018 Pipeline Safety Performance Measures Report at 24 n10 (June 13, 2019) (underlined emphasis added). The Companies' First Responders are Customer Meter Services ("CMS") operator qualified technicians who meet these requirements for emergency response.

If the metric was changed to measure from the time company personnel who are trained and equipped to repair leaks arrives on the scene, as NYC suggests, the Companies would be required to dispatch a Gas Field Operations crew to respond to every reported leak. This would require significant incremental resources and is inefficient because most reported leaks do not actually require an immediate action. For example, in CY 2018 and CY 2019 thus far, only approximately 15 percent of total leaks reported were reported as an odor outside. Of the total leaks called in, only approximately 0.41 percent resulted in a classification of a Type-1 leak requiring an immediate action.

E. Gas Regulations Performance Metric

Q. Does the SPSP support the Companies' proposal that the NRAs for this metric be spread among larger tiers?

A. The SPSP does not support this proposal and instead recommends that the metric's tiers remain as they are currently established. (SPSP at 63-64).

Q. Do the Companies agree with the SPSP's recommendation for the metric tiers?

A. No. Based on the Companies' record of improved performance, and because the broader tiers the Companies are proposing were recently adopted for Niagara Mohawk's Gas Regulations Performance Metric, the Companies' proposal should be accepted.

Q. Do the Companies agree with the SPSP's recommendation to remove the existing 10-violation cap for violations of a single code section identified during field audits?

A. No. Currently, the Companies' Gas Safety Regulations Performance Metric includes a cap of 10 violations of a single code section for both records audit violations and field audit violations. Removal of the cap for field audits is overly punitive, not justified based on the Companies' record of performance against this metric, and unnecessary in light of the implementation plan requirements for violations that exceed the cap. The SPSP states its basis for its recommendation is that it expects that the Companies' performance should be at its best while being observed; therefore, any violation committed in front of

Pipeline Safety Staff could indicate a lack of competency in performing the action or task. (SPSP at 67). The SPSP's statement amounts to a pre-judgment on the root cause of potential violations before they even occur. The 10-violation cap was agreed-to in the Companies' Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases to ensure that the metric did not create a scenario where violations with a high number of occurrences could result in an overly punitive penalty without focusing attention properly on the underlying compliance issue. To re-balance the metric, a provision was included that requires the Companies to conduct a root cause analysis for violations that exceed the cap and file an implementation plan and to develop a mitigation plan that is acceptable to Staff. The Companies' recommendation is to continue this mechanism in the metric for both field and records audits, rather than removing the 10-violation cap for field audits. This mechanism allows for the fair evaluation of the root cause of field violations and a mechanism to mitigate root causes yet still provides a strong incentive to achieve full compliance with gas safety regulations.

V. Proposed Adjustments to the Companies' Incremental Safety Programs

A. Plastic Fusions QA/QC Re-Digs Program

Q. Please describe the SGIOP's recommended adjustment to the Plastic Fusions QA/QC Re-Digs Program.

A. The SGIOP recommends a downward adjustment to the capital forecast for this program in the amount of approximately $0.25 million for KEDNY and $0.31 million for KEDLI. Staff notes that the Companies' response to IR DPS-711 indicates that the Companies' forecast is based on the estimated number of incremental inspections times the unit price per inspection. The SGIOP does not question the Companies' estimated number of inspections or unit prices, but states that the total forecast includes additional costs that were not justified, which Staff proposes to remove.

Q. Do the Companies agree with the adjustment?

A. No. The Companies inadvertently neglected to include the basis for the entire forecast in their response to IR DPS-711. The forecast is based on the number of inspections times the unit price, plus the capital labor required to conduct the inspections that is not included in the unit price. The capital labor portion of the forecast is what would be removed by the SGIOP's adjustment. The labor portion of the forecast is required to enable the Companies to meet their regulatory obligations to conduct additional inspections of plastic fusions; therefore, the capital forecast for this program should remain as proposed by the Companies.

B. <u>Inside Service Line Inspection Program</u>

Q. Does the SPSP make recommendations for the Companies' Inside Service Line Inspection Program?

A. Yes, to help manage costs, the SPSP recommends that (i) the Companies coordinate inspection work with other work when possible, (ii) automatically impose non-access penalties upon one refusal or two missed appointments, and (iii) use revenues collected through non-access penalties to offset program costs.

Q. Do the Companies agree with the SPSP's recommendations?

A. Yes, in part. The Companies continuously seek opportunities to coordinate work and to perform work more efficiently across programs. The Companies' also have incorporated the non-access penalty for one refusal or two missed appointments into its tariff and into its O&M procedures for inside service line inspections. It is not clear what the SPSP means by "automatic" assessment of a penalty; however, the Companies intend to utilize the penalty effectively as a tool to gain access for inspections. The process for assessing the penalty should ensure that the Companies have adequate records of one refusal or two missed appointments and that customers have been provided adequate notice of the penalty before it is assessed. The Companies will consider a mechanism for using penalty revenues to offset the costs of the Inside Service Line Inspection Program.

C. <u>Enhanced Contractor Inspection Program</u>

Q. Please address the SPSP's recommendation regarding the Companies' proposed Enhanced Contractor Inspection Program.

A. The Enhanced Contractor Inspection Program adds inspectors and a small amount of associated capital labor so that the ratio of inspectors to contractor crews will be one-to-one. The SPSP (at 91) supports the program but recommends a reduction to the Companies' proposed number of FTEs to reflect the estimated workload. The Companies do not agree with the SPSP's five percent reduction in the FTEs associated with the program and believe the number of FTEs included in its rebuttal filing are necessary to maintain the one-to-one ratio of inspectors to contractor crews in the Rate Year and Data Years. Notwithstanding the foregoing, the Companies' rebuttal filing has been adjusted to reflect the assumption that the NESE project will not be completed within the timeframe of the rate plan in this case. As a result, the Companies have reduced the number of FTEs required for the Enhanced Contractor Inspection Program by 0.4 FTEs for KEDNY and 3.0 FTEs for KEDLI. Modification to the number of FTEs required for this program has a flow-through impact on both the operating and capital expense portions of the program.

Additionally, the Companies note that the adjustments to the Companies' FTE proposal for the program in Staff's exhibits do not accurately reflect a five

percent reduction. For example, Staff's Exhibit___(SRRP-2) reflects a reduction of two FTEs for KEDNY when a five percent reduction would be equal to 1.25 FTEs based on KEDNY's Correction and Updates filing. Should any FTE adjustments for the program be recommended in this proceeding, the corresponding impact on operating expense and capital expense should be recalculated to reflect the adjustments appropriately.

D. Enhanced Inactive Accounts Program

Q. Please address the SPSP's comments regarding response to inactive accounts.

A. The SPSP notes that inactive accounts should be addressed immediately and that the Companies should also address meters found not to be readily accessible. As was stated in the Panel's direct testimony, under the Companies' current inactive accounts process, the Companies act immediately to perform a site analysis on every site to determine whether conditions, such as a vacant premises or other observable unsafe condition, warrant immediately securing the line. In such instances, the service is cut within 24 hours. Assuming there is not an urgent circumstance, the process is designed to resolve inactive accounts within 60 days. In practice, however, 47 percent of KEDNY's inactive accounts and 89 percent of KEDLI's inactive accounts are resolved within the first 15 days, and only approximately 5 percent of KEDNY's and 1.6 percent of KEDLI's

accounts remain inactive between days 45 and 60 of the current process. The Companies' proposal to achieve a 30-day process by the end of Data Year 2 will expedite the entire process.

Regarding meter locations, at the time of original installation, the Companies install meters in readily accessible locations (*i.e.*, locations not obstructed and able to be accessed to perform inspections and maintenance), regardless of whether the meter is physically located on the outside or inside of a customer's building. Over the past several years, the Companies have discovered meters that are obstructed or inaccessible because of subsequent customer alterations or obstructions installed around the meter. The Companies' current practice is to advise customers of obstructions and access issues upon discovery. If required to resolve an imminent safety concern, the Companies would terminate service. Outside of imminent safety conditions, however, the Companies have encountered several impediments that prevent or delay immediate removal of the obstructions, including customer refusals, local building codes and regulations, exterior or interior obstacles, and other various safety reasons. These challenges are further compounded in the City of New York, where KEDNY has been unable to relocate any meters outside of the building because of code interpretation issues with the NYC Department of Buildings ("DOB"). Accordingly, although the Companies will continue their efforts to remove

obstructions and overcome the impediments noted above as quickly and efficiently as possible, Staff's recommendation that the Companies take "immediate and continuous" action to remedy these conditions is simply unachievable for reasons beyond the Companies' control. The Companies acknowledge that improvements in this area will require the involvement of third parties, including municipalities, and invite affected stakeholders to provide comments and work with the Companies towards effective resolutions.

E. <u>Buried Vent Lines Program</u>

Q. What is the SGIOP's recommendation regarding the Companies' proposed program to remove or remediate buried vent lines?

A. The SGIOP recommends that the Buried Vent Lines Program should be removed from the Companies' capital plans and should instead be funded by the Companies' shareholders because the SGIOP believes the Companies should already have addressed buried vent lines. (SGIOP at 95).

Q. Do the Companies agree with the SGIOP's proposed adjustment?

A. No. The Companies have identified and addressed buried vent lines for years during the regular course of operations and maintenance. In the past, this work was done in connection with various programs, such as regulator inspections and meter changes, and procedures for ensuring the safe operation of buried vent

lines and performing corrective actions when necessary are included in the Companies' CMS procedures. Since the Companies began conducting inside service line inspections in 2017, the pace of identification of buried vent lines has increased such that the Companies have proposed a distinct capital program with centralized funding to enable the Companies to timely address these issues. This program is properly funded through rates.

F. <u>Low Pressure Main Valve Installation Program</u>

Q. Do the Companies agree with the SGIOP's proposal for the Low-Pressure Main Valves Installation Program to be funded through NRAs rather than through rates?

A. No. This program is an incremental safety program that will be ongoing because the valves will be installed on new services as well as on existing main. This is an ongoing program with long-term benefits to customers that justify inclusion in rates. There will also be future investment required to ensure the valves remain operational over time. The costs of this program and the nature of this program render it inappropriate to fund through the limited pool of NRA dollars that are available. This program should be funded through rates, and NRAs should be reserved for shorter-term programs that do not require ongoing spending.

G. <u>Expanded Residential Methane Detector ("RMD") Program</u>

Q. Please respond to the SPSP's and NYC's recommendations that the Companies consider development of advanced RMDs.

A. The Companies support the development of utility detection devices with advanced technologies for residential methane detection, similar to the Con Edison device, that can automatically communicate information, including methane emissions, to the Companies' systems. The Companies note that Con Edison's device is not compatible with the Companies' existing network and that there is no device currently on the market that would be compatible. Notwithstanding, the Companies have ongoing research and development ("R&D") efforts underway and actively communicate with all major manufacturers regarding potential development of a product that meets the Companies' technical specifications.

The Companies also support the advancement and improvement of RMDs for customers' personal use, similar to smoke detectors, of the type that the Companies plan to distribute via the proposed Expanded Residential Methane Detection Program. The Companies' efforts are described in their responses to IR DPS-671, a copy of which is included in Exhibit __(GSP-1R), and in KEDLI's Settlement Agreement Implementation Update report that was filed on August 22, 2019, in Cases 14-G-0058 and 14-G-0060.

The Companies intend to continue these efforts during the Rate Year and Data Years. The Companies note that Staff's proposed reduction of the Companies' incremental FTE to support R&D efforts that is noted in the GIOP's rebuttal testimony is incompatible with the SPSP's recommendation to dedicate additional R&D resources toward the advancement of RMDs.

Q. Do the Companies agree that NYC's recommendations that the Companies should install RMDs and provide enhanced tracking and support to customers as part of its Expanded Residential Methane Detection Program?

A. No. The Companies' Expanded Residential Methane Detection Program is a program to put commercially-available consumer RMD devices in the hands of customers for free for their own personal use. The devices are simple for customers to install and to operate, similar to common smoke detectors and carbon monoxide detectors that most customers already have in their homes. As is shown response to IR CNY-75, a copy of which is included in Exhibit __(GSP-1R), Niagara Mohawk's similar program tracks which customers have been provided with RMDs, and there have thus far been no odor calls that have originated from a Niagara Mohawk customer who was provided with a device. The Companies intend to similarly track which customers receive RMDs and can use this data in conjunction with leak calls to track whether leak calls are

reported from customers who have an RMD device. As noted in the response, Niagara Mohawk is tracking this type of information and, to date, has received no odor or leak calls resulting from an RMD alarm. Installation and support for using these simple devices would be an inefficient use of Companies' resources that should instead be dedicated toward the advancement of advanced technologies for advanced utility methane detection devices and advanced consumer RMDs.

H. <u>Enhanced High Emitter Methane Detection Program</u>

Q. What are the SPSP's recommendations regarding the Companies' proposed Enhanced High Emitter Methane Detection Program?

A. The SPSP supports the Companies' program, which will deploy a Google car mounted with CRDS technology to prioritize repair of high emission leaks in high leak concentration areas. The SPSP describes the program as a "pilot program" and recommends that the program be funded using the Companies' balance of NRAs. The SPSP does not support the Companies' proposed addition of one FTE to support this program. (SPSP at 87-88).

Q. Please comment on the SPSP's recommendations.

A. The Companies had not intended this program as a pilot program. The Companies' proposal was for an ongoing program that should be funded in rates.

The program is not a leak detection program but is a supplement to the Companies' leak management program that will help the Companies prioritize repair of high emission leaks in areas known to have a high leak concentration. The Companies, however, agree that part of the purpose of the program is to continue to test and evaluate the technology to explore possible future uses and expanded integration into the Companies' leak management programs. As such, the Companies could consider moving forward with this program as a pilot program in a multi-year rate plan. As is stated above, the Companies believe that its incremental safety programs for a one-year case should be funded in rates.

Q. Does EDF make recommendations regarding the Enhanced High Emitter Methane Detection Program?

A. Yes. EDF recommends that this program be expanded to incorporate a complete emissions survey of both Companies' entire service territory. For the same reasons stated above regarding EDF's recommendations for revision of the Leak Backlog metric, the Companies do not believe that expanded deployment of the CRDS technology is appropriate at this time but will continue to work with EDF on the advancement and evaluation of this technology.

VI. Other Recommendations

A. Gas Safety Reporting

Q. Do the Companies support the SPSP's recommendations for capital reporting?

A. For the purposes of a one-year rate plan, the Companies support capital reporting that is aligned with the reporting structure adopted in the 2016 KEDNY and KEDLI Rate Cases. The Companies are concerned that the enhanced reporting recommended for LPP retirements may be burdensome to prepare without commensurate benefits for enabling evaluation of the program; however, the Companies are open to discussing modifications to existing reporting requirements for a multi-year rate plan.

B. Local Law 152

Q. Does the SPSP discuss Local Law 152 ("LL152")?

A. Yes. As stated by the SPSP, LL152 is a New York City Council law that requires building owners in New York City to conduct inspections including atmospheric corrosion and leak surveys of the natural gas piping inside buildings, including the same segments that the Companies are required to inspect pursuant the inside service line definition change. (SPSP at 76).

The SPSP is correct that New York gas LDCs had hoped to coordinate LL152 inspections with utility inside service line inspections to eliminate overlapping inspections of the same facilities and reduce the burden and costs for both building owners and utility customers. The Companies, Con Edison, and the NGA worked with the DOB for nearly a year prior to issuance of the proposed rules implementing the law to provide guidance and information on how coordination could be achieved. When the DOB issued its proposed rules on November 30, 2018, the Companies were disappointed that the rules were not written in a manner that would allow for coordination of inspections to meet both the utilities and LL152 requirements, and the Companies filed joint comments with Con Edison in the rulemaking proceeding.

Q. What are the SPSP's recommendations regarding LL152?

A. The SPSP has three recommendations: (i) that the Companies continue to coordinate with DOB to encourage modifications to the rule that would enable coordinated inspections; (ii) if the rules are issued without modification, that the Companies file a plan within 60 days of the issuance of DOB's final rule or within 60 days of the Commission's Order in these proceedings detailing how the Companies will coordinate with building owners to encourage them to use plumbers qualified to perform the utility's inspections, including technology sharing and an educational campaign; and (iii) that the amounts the Companies

can collect in rates should be a "placeholder" with a reconciliation to a new estimate once the final rules are issued.

Q. Please comment on the SPSP's recommendations.

A. The Companies are willing to continue to work with DOB to attempt to align LL152 with the utilities' service line inspection requirements; however, it should not be assumed that these efforts will be successful. The Companies do not agree with the remaining recommendations. The SPSP's recommendations hinge on the concept that building owners, if properly educated and provided with data recording tools, could voluntarily hire plumbers qualified to conduct the inspections on behalf of the utilities so that the utilities could count the inspections as completed for their regulatory obligations. The misalignment of the inspection cycle times (LL152 rules are every five years but the utilities are one- and three-year cycles), however, and the borough-by-borough approach in the LL152 rules as proposed, would render even voluntary coordination impossible. There are also other impediments caused by the rules as proposed including the lack of a requirement to inspect room set meter locations. Even if the cycle times aligned, it would be difficult for the Companies to manage their compliance program, resource needs, etc. around an unknown portion of inspections occurring voluntarily in any given year. The Companies remain hopeful that their comments in the rulemaking proceeding will be given due

consideration and that the final rules adopted will allow for coordination; however, in the event they are passed as proposed, the Companies strongly believe that the most cost-efficient way to proceed for the Companies' customers is for the Companies to manage their required inside service line inspections independently.

Q. Do the Companies agree that the amounts collected in rates for inside service line inspections should be temporary pending issuance of DOB's final rules?

A. No. The Companies' Inside Service Line Inspection Program for the Rate Year will be conducted independently by the Companies. In the event that the LL152 rules are passed with sufficient modifications to allow for coordination of inspections, it will take the Companies time to develop coordination plans that ensure the Companies can meet their regulatory requirements. The Companies would not anticipate realization of coordination benefits in the Rate Year, but this could be covered by an exogenous cost provision.

C. <u>Inside Meter Relocations</u>

Q. Please explain the inside meter relocation practices that were established in the 2016 KEDNY and KEDLI Rate Cases and the SPSP's recommendations regarding relocation of inside meters going forward.

A. Pursuant to the Joint Proposal adopted in the 2016 KEDNY and KEDLI Rate Case, beginning in CY 2018, the Companies were to begin to relocate gas meters located inside premises to outside the premises when replacing or relocating gas service lines as part of the LPP retirement program, except where (i) the customer refuses permission to relocate the meter outside; (ii) local building codes or similar regulations prohibit outside meters; (iii) exterior or interior obstacles prevent meter relocation; or (iv) the gas meters should not be moved outside for safety reasons. The SPSP recommends that the Companies continue to relocate inside meters to outside and expand their efforts to perform this work not only in coordination with the LPP replacement programs, but also whenever the Companies perform service transfers or move an existing service line to a newly installed pipeline. (SPSP at 82).

Q. Can the Companies support continued and/or expanded inside meter relocations?

A. The Companies agree with the safety benefits of relocating meters from inside to outside. Meter relocations would also eventually reduce costs of performing required inspections of inside service lines. At this time, however, KEDNY is not able to make specific commitments regarding relocating meters from inside to outside for reasons that are explained in more detail below. KEDLI supports continued inside meter relocations in coordination with the LPP replacement

program, assuming the existing exceptions would still apply. In the event of a multi-year rate plan, KEDLI is open to considering expansion of these efforts to other work where KEDLI is replacing the service from the building to the curb. KEDLI notes that it would not be appropriate to require meter relocations to be coordinated with service replacement work from the main to the curb.

Q. Please explain why KEDNY is unable to commit to meter relocations at this time.

A. KEDNY's meter relocation strategy assumed that it could perform this work using its crews that were on-site performing the main and service replacements using its standard processes and procedures for replacing meters. This is the process followed by KEDLI in its service territory. Early in CY 2018, KEDNY became aware that the DOB considered part of the work that is required to relocate the meters–specifically, the replacement of a small section of pipe inside the premises where the meter was located to the new connection with the meter outside the building–to be interior house pipe work falling under the requirements of the New York City Building Code and Fuel Gas Code ("Codes"). These requirements are varied and complex; some examples include:

- three-pound pressure testing beyond the installation to the entire premises that could compromise internal piping that otherwise

operates safely at lower usage pressures, particularly on older buildings common in NYC ;

- multiple inspections by DOB including a close out inspection such that the work could not be completed in one day and would require customers to be out of service multiple days or longer; and
- work could not be performed by KEDNY's crews, requiring additional resources to contract for master plumber services and would require coordination of KEDNY's service line replacement crews with additional plumber crews.

Taken together, the Code requirements prevent KEDNY from performing the meter relocation work.

During 2018 and to date, KEDNY has suspended its meter relocation efforts to pursue ongoing discussions with the NYC Mayor's Office staff and the DOB regarding whether there is a path forward that would enable KEDNY to perform this work. KEDNY has also updated Staff on this matter throughout the past year.

Q. What is KEDNY's recommendation regarding meter relocations?

A. KEDNY will continue ongoing discussions with DOB; however, at this time there is no clear path forward such that KEDNY can commit to meter

relocations. At best, KEDNY can look for opportunities to relocate meters in coordination with customer-planned work on inside house piping where the customer would be responsible for the replacement of the house-piping on the inside of the building where the meter is removed.

The Companies also note that KEDLI's ability to continue relocations outside of New York City may be similarly impacted by municipal building codes as the program moves forward.

D. <u>SEP's Concerns Regarding Radon</u>

Q. Please address SEP's recommendation that the Companies should provide radon testing for its customers.

A. The Companies agree that customer safety is paramount; however, SEP has presented no credible evidence to suggest that the gas transported by the Companies causes harmful radon emissions when burned inside homes for heating, cooking, and appliances. Respectfully, SEP's witnesses are not scientists or chemical engineers, and SEP has not presented testimony by any witnesses who are experts in the fields of chemical engineering, radon, or the composition of natural gas. SEP cites only to a publicly-available article that discusses increasing radon levels in Pennsylvania, where fracking occurs, to support its belief that there could be unacceptable levels of radon emitting from

natural gas far from fracking sites. Absent compelling evidence that radon emissions should be addressed by New York utilities, the Companies cannot support spending customer dollars to address an unproven risk.

Moreover, the Companies adhere to all currently applicable regulatory requirements and standards for testing of the quality of natural gas entering their systems. To the extent that a scientific consensus is ultimately formed that raises a legitimate concern over radon in the northeastern natural gas supply, such an issue should be addressed statewide and for all local gas utilities. SEP notes that that legislation was proposed in 2013 in the New York State Legislature related to radon concerns, but that legislation appears to have died in committee and never passed. The Companies' rate proceedings are not an appropriate forum to address this issue.

Q. Does that conclude your testimony?

A. Yes.

INDEX OF EXHIBITS

Exhibit __ (GSP-1R):	Relevant IR responses in this proceeding
Exhibit __ (GSP-2R):	2018 Damage Prevention Metrics Annual Report and Most Recent Damage Prevention Analysis Quarterly Report Transmittal Letter
Exhibit __ (GSP-3R):	Companies' Damage Prevention IR Responses in Case 13-G-0314
Exhibit __ (GSP-4R):	Relevant portions of the Companies' Implementation Plan filed on May 16, 2016 and the Companies' Updated Plan filed on March 8, 2018 in Case 13-G-0314

Exhibit ___ (GSP-1R)

Relevant IR responses in this proceeding

Date of Request: November 13, 2018 Request No. DPS-157
Due Date: April 30, 2019 KEDNY/KEDLI Req. No. NG-157

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Response to Staff's Pre-Filing Information Requests
Gas Utilities

SUBJECT: **Gas Safety**

Request: Damage Prevention
157 How has the Company performed when compared with that of its specific damage prevention calendar year-end targets for the previous five calendar years?

Response:

The Companies have outperformed their damage prevention targets in each of the previous five calendar years.

Name of Respondent: Date of Reply:
Robert Terjesen April 30, 2019

Date of Request: June 25, 2019 Request No. DPS-668
Due Date: July 5, 2019 NG Request No. NG-858

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Michael Pasinella

TO: National Grid, Gas Safety Panel

SUBJECT: Damage Prevention

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Regarding the Companies' response to IR DPS-157, provide the mismark, company and company contractor error, and total performances for calendar years 2017 and 2018 for each Company.

Response:

The mismark, company and company contractor error, and total performances for calendar years 2017 and 2018 for KEDLI and KEDNY are provided in the tables below.

KEDLI 2017	PSC Performance Targets	National Grid Final CY Performance
Mismarks	0.69	0.43
Co. & Co. Contractors	0.15	0.06
Total Damages	2.78	1.75

KEDLI 2018	PSC Performance Targets	National Grid Final CY Performance
Mismarks	0.60	0.49
Co. & Co. Contractors	0.13	0.09
Total Damages	2.48	1.70

KEDNY 2017	PSC Performance Targets	National Grid Final CY Performance
Mismarks	0.45	0.24
Co. & Co. Contractors	0.10	0.02
Total Damages	1.93	1.01

KEDNY 2018	PSC Performance Targets	National Grid Final CY Performance
Mismarks	0.42	0.34
Co. & Co. Contractors	0.09	0.01
Total Damages	1.87	1.17

Date of Request: November 13, 2018 Request No. DPS-134
Due Date: April 30, 2019 KEDNY/KEDLI Req. No. NG-134

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Response to Staff's Pre-Filing Information Requests
Gas Utilities

SUBJECT: **Gas Safety**

Request: Damage Prevention
134 Provide the total number of regular one-call tickets for each of the previous five calendar years.

Response:

Attachment 1 (KEDNY) and Attachment 2 (KEDLI) present the total number of regular one-call tickets in each calendar year 2014-2018.

Name of Respondent: Date of Reply:
Robert Terjesen April 30, 2019

Analysis of Damages - KEDNY						
Categories	Sub-Categories	2014	2015	2016	2017	2018
One-Call Tickets	Regular	85,494	70,323	74,691	96,482	115,426
	Emergency	10,254	11,476	11,618	12,135	12,933
	Refreshes / Retransmits	76,925	96,025	104,831	174,857	152,969
Mismarks	Records Deficiency	52	60	42	39	69
	Locator Error	6	8	8	28	27
Company and Company Contractor	Company: Gas	0	0	0	1	0
	Contractor: Gas	2	6	7	6	4
	Other	0	0	0	0	0
Third Party	Operators	9	9	9	9	10
	Excavators	148	143	166	156	178
	Homeowners	0	0	0	0	0
	Human or Animal	0	0	0	0	0
No-Calls	Operators	2	2	0	3	1
	Excavators	44	61	54	44	39
	Homeowners	9	8	10	8	6
	Human or Animal	15	18	20	14	20

KeySpan Gas East Corporation
d/b/a National Grid
Pre-Filing Data Response
Attachment 2 to DPS-134 NG-134
Page 1 of 1

Analysis of Damages - KEDLI						
Categories	Sub-Categories	2014	2015	2016	2017	2018
One-Call Tickets	Regular	94,580	89,556	94,679	104,743	114,907
	Emergency	9,868	10,889	10,048	9,324	11,964
	Refreshes / Retransmits	70,385	56,519	60,165	71,246	81,204
Mismarks	Records Deficiency	63	69	43	27	45
	Locator Error	16	20	43	52	56
Company and Company Contractor	Company: Gas	1	1	4	0	1
	Contractor: Gas	5	8	12	11	18
	Other	0	0	0	0	0
Third Party	Operators	8	19	16	9	9
	Excavators	111	126	115	103	114
	Homeowners	0	0	0	0	0
	Human or Animal	0	0	0	0	0
No-Calls	Operators	4	8	5	2	6
	Excavators	125	119	107	121	105
	Homeowners	50	44	42	42	40
	Human or Animal	94	70	93	81	71

Date of Request: August 6, 2019 Request No. UIU-51
Due Date: August 16, 2019 NG Request No. NG-1316

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: Utility Intervention Unit, Kathleen O'Hare

TO: National Grid, Gas Safety Panel

SUBJECT: Gas Safety

Request:

Note: Unless noted otherwise, each of the following information requests pertains to both gas services. Please provide a separate answer to each such information request as it pertains to (a) KEDNY gas and (b) KEDLI gas.

51. Referring to the "Google Car" discussed on pages 45-46 of the Panel's testimony, in relation to methane detection:

a) Is the vehicle self-driving or unmanned?

b) Does the vehicle detect actual leaks or leak indications?

c) In addition to the pilot program in which the Companies have participated, where else has this technology been utilized, and for how long?

d) If the vehicle is self-driving or unmanned, is the activity insured and, if so, what is the cost? Were there any accidents or additional unanticipated costs during the pilot study? Have there been any accidents or additional unanticipated costs during the utilization of this technology in any other service territory that the Companies, or any of its partners in this program, are aware of?

e) What is the cost of this program compared to a traditional detection program?

Response:

a) The "Google Car" is neither self-driving nor unmanned.
b) The vehicle does not detect actual leaks. It detects leak indications only.
c) Currently none of the Company regions use this technology; however, the Companies understand that PG&E has been using this technology for last few years.
d) See the response to part "a", above.

e) As described in the direct testimony of the Companies' Gas Safety Panel, this technology is not a replacement for traditional leak detection; therefore, the requested cost comparison is not available. The Companies propose to supplement traditional leakage survey with this technology for the purpose of prioritizing possible large emitter leaks for repair. The costs of the program are set forth in the Companies' testimony and exhibits.

Date of Request: June 25, 2019 Request No. DPS-671
Due Date: July 5, 2019 NG Request No. NG-861

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Michael Pasinella

TO: National Grid, Gas Safety Panel

SUBJECT: Residential Methane Detector (RMD) Program

Request:

Note: In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Provide the following for both Company's:

On pages 43 and 44 of its Direct Testimony, the Gas Safety Panel discusses the enhanced residential methane detector (RMD) program.

1. Will the RMD units be able to communicate with either each Company's personnel or equipment? If yes, explain how. If not, why not.

2. Has either company researched RMD units that would be able to communicate with Company personnel or equipment? If so, provide said research and the associated costs.

Response:

1. The Companies' Expanded Residential Detection Program, described in the Gas Safety Panel testimony, is for purchase and distribution of commercially-available residential methane detection devices ("RMDs") that are plug-in devices that can be wall mounted and are similar to residential smoke and carbon monoxide detectors. The RMD units will not be able to communicate with either Company personnel or equipment.

2. The Residential Methane Detection Program was designed as a program to distribute commercially available RMD devices to the Companies' customers for their personal use. The Program does not include research and development of advanced RMD technologies.

The Companies are continually monitoring the market availability of RMDs and emerging technologies and has specifically researched RMD products that would be able to communicate with Company personnel or equipment. At present, there are no available devices on the market that can communicate with the Companies' systems. The Companies have not incurred specific costs to conduct such monitoring; this function is performed by employees in the Gas Research and Development group as a part of their overall job responsibilities. The Companies' also participate in various research and development initiatives to advance RMD technologies. These initiatives are coordinated through the Companies' Gas Research and Development Group.

Name of Respondent:
Lee Westerlind
Dennis Ruppert

Date of Reply:
July 3, 2019

Date of Request: June 26, 2019 Request No. CNY-75
Due Date: July 8, 2019 NG Request No. NG-877

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: City of New York, Justin J. Fung

TO: National Grid, Gas Safety Panel

SUBJECT: Gas Safety

Request:

75. With respect to the Expanded Residential Methane Detection (RMD) Program:

a. Do the Companies propose any follow up inspections to verify whether the RMDs are properly installed by the resident?

b. In the event that an RMD detects the presence of methane, what do the manufacturers' instructions direct the resident to do?

c. With respect to the Panel's testimony on page 43 stating that Niagara Mohawk implemented a similar RMD program in Calendar Year 2018, how many calls has Niagara Mohawk received in response to an RMD alarm?

d. What is the Companies' justification for the number of proposed RMDs (*e.g.*, 54,000 RMDs for KEDNY and 36,000 RMDs for KEDLI)? How did the Companies arrive at these numbers?

e. How many inside meters (room sets) does each Company have?

f. Of the total customers identified in part (e) of this question, how will the Companies determine which customers will receive RMDs?

Response:

a. The Expanded Residential Methane Detection Program includes only distribution of the devices to the customers. The Program does not include installation or inspection of the devices.

b. Attachment 1 provides an excerpt from the manufacturer instructions for the RMD device the Companies currently intend to distribute.

c. In Calendar Year 2018, Niagara Mohawk did not receive any calls as a result of an alarm from an RMD device.

d. The justification for the number of proposed RMDs to be distributed for both KEDNY and KEDLI is directly related to the approximate number of service line inspections to be completed over the same period for each company. As with the Niagara Mohawk program, the Company intends to distribute RMDs to customers during service line inspections. Please note that the 54,000 RMDs for KEDNY and 36,000 RMDs for KEDLI are annual targets that represent the number of devices that will be distributed in each year of the rate plan.

e. KEDNY has 11,417 inside meters (room sets). KEDLI does not have room sets in its service territory.

f. The current KEDNY RMD program mentioned on page 43 at line 6 in the Gas Safety Panel direct testimony was a pilot RMD program implemented following the last rate case to distribute RMDs to customers with inside room set meters. There is currently no RMD program in KEDLI's service territory. The Companies' proposed RMD Programs in the instant filing are an expansion of the KEDNY pilot effort. The proposal is to include all residential customer types (not limited to room set customers) in both KEDNY's and KEDLI's service territories. The Companies will model the Programs after the Niagara Mohawk Program and will determine which customers receive RMDs as follows:

- Service line inspection customer data will be the primary basis for distributing RMDs.
- Multiple use dwelling and energy affordability customers will be targeted using a customer system extract that overlays multiple use dwelling and energy affordability customers onto the service line inspection customer data.
- Customers served by 2" and 4" pipe will also be targeted using an engineering extract overlaid onto the service line inspection data.
- While multiple use, energy affordability customers, and customers served on smaller diameter pipe will be targeted, the program will not be limited to any residential customer type.
- The Companies will look for other opportunities to distribute RMDs to customers (*e.g.* public event opportunities such as Niagara Mohawk booth at State Fair).

KeySpan Gas East Corporation
The Brooklyn Union Gas Company
d/b/a National Grid NY
Cases 19-G-0309/0310
Attachment 1 to CNY-75
Page 1 of 1

WHAT TO DO IF NATURAL GAS IS DETECTED:

If you hear the alarm horn sound 1 beep per second, gas has been detected. Evacuate everyone from the building.

1. Leave the house immediately, opening doors and windows as you leave.
2. Do not use your telephone or appliances. Do not turn any light switches off or on. Any spark or flame could ignite the gas.
3. Call 911 and your gas company from a phone that is away from your home.
4. Do not reenter the area until the source of the leak is found and corrected.

⚠WARNING!

If the unit alarms and you are not testing the unit, it is warning you of a potentially dangerous situation which requires your immediate attention. NEVER ignore any alarm. Ignoring the alarm may result in injury or death.

Exhibit ___ (GSP-2R)

2018 Damage Prevention Metrics Annual Report and Most Recent Damage Prevention Analysis Quarterly Report Transmittal Letter

Patric O'Brien
Assistant General Counsel
Legal Department

nationalgrid

March 29, 2019

VIA E-FILING

Honorable Kathleen H. Burgess, Secretary
Public Service Commission
Three Empire State Plaza
Albany, NY 12223-1350

Re: Case 16-G-0058 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

Case 16-G-0059 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 17-G-0239 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Gas Service

Dear Secretary Burgess:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY"), KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") and Niagara Mohawk Power Corporation d/b/a National Grid ("NMPC") (collectively, the "Companies") hereby submit for filing with the Commission a report (Attachments 1-3) summarizing the Companies' calendar year 2018 performance against the gas safety performance metrics set forth in the September 6, 2017 Joint Proposal in Cases 16-G-0058 and 16-G-0059 with respect to KEDNY and KEDLI, and the January 19, 2019 Joint Proposal in Case 17-G-0239 with respect to NMPC.

KEDNY and KEDLI further submit, pursuant to the September 6, 2017 Joint Proposal, a summary of their first responder training plans (Attachment 4).

Thank you for your attention to this filing. Please contact me with any questions or concerns.

Respectfully submitted,

Patric O'Brien
Patric O'Brien

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nationalgrid

PSC Case 16-G-0059
The Brooklyn Union Gas Company d/b/a National Grid NY
Gas Safety Performance Metrics Report
For Calendar Year 2018

Attachment 1

	TARGET	Basis Points at Risk for NRA / to be Earned for PRA	NRA or PRA	ACTUAL YTD RESULTS THROUGH 31-Dec-2018	Actual Basis Points Incurred or Earned	Penalty Incurred	Incentive Earned
LPP Removal							
Remove from Service a Minimum of 55 miles[1]	≥ 55 miles	8	NRA	**63.6**	0	$0	
LPP Removal Incentive(2 BP for each full mile of LPP removed above incentive threshold (up to 10 BP per year)	≥ 61 miles	<=10	PRA	**63.6**	4		$876,660
Leak Management							
Workable Leaks Backlog (Type 1, 2, 2A)	≤ 25	8	NRA	**10**	0	$0	
Total Leaks Backlog (Type 1, 2, 2A, 3)	≤ 3,400	4	NRA	**2,803**	0	$0	
Leak Repair Incentive[2] (1 BP for each 50 incremental leaks eliminated (above the Type 3 leak reduction targets) from list of the highest emitting Type 3 leaks)	≥ 50	≤ 5	PRA	**205**	4		$876,660
Damage Prevention							
Overall Damages per 1,000 One-Call Tickets	≤ 1.87	4	NRA	**1.17**	0	$0	
Damages Due to Mismarks per 1,000 One-Call Tickets	≤ 0.42	10	NRA	**0.34**	0	$0	
Damages Due to Company and Contractors per 1,000 One-Call Tickets	≤ 0.09	4	NRA	**0.01**	0	$0	
Emergency Response							
Percent of All Gas Leak and Odor Calls Within 30 Minutes	≥75%	6	NRA	**80.0%**	0	$0	
Percent of All Gas Leak and Odor Calls Within 45 Minutes	≥90%	4	NRA	**95.2%**	0	$0	
Percent of All Gas Leak and Odor Calls Within 60 Minutes	≥95%	2	NRA	**98.5%**	0	$0	
Gas Safety Regulations Performance Metric		≤100 total [3]	NRA				
High Risk Violations		per occurrence [4]					
	1-10	1/4	NRA	**TBD**			
	11-20	1/2	NRA	**TBD**			
	≥21	1	NRA	**TBD**			
Other Risk Violations	1-25	1/9	NRA	**TBD**			
	≥26	1/3	NRA	**TBD**			

Abbreviations
NRA = Negative Revenue Adjustment
PRA = Positive Revenue Adjustment
BP= Basis Point (1 BP = $219,165)

Notes:
(1) Cumulative three-year total of 180 miles by the end of CY 2019. Through 2018, 121.3 miles reported.
(2) KEDNY must achieve both annual backlog reduction targets to qualify for this incentive. The list of highest emitting Type 3 leaks was filed on March 15, 2017 in Case 16-G-0059.
(3) Total NRA for high risk and other risk violations capped at 100 BP per calendar year
(4) The number of occurrences of noncompliance with each high risk and other risk violation is capped at 10 per calendar year

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PSC Case 16-G-0058
KeySpan Gas East Corporation d/b/a National Grid
Gas Safety Performance Metrics Report
For Calendar Year 2018

Attachment 2

	TARGET	Basis Points at Risk for NRA / to be Earned for PRA	NRA or PRA	ACTUAL YTD RESULTS THROUGH 31-Dec-2018	Actual Basis Points Incurred or Earned	Penalty Incurred	Incentive Earned
LPP Removal							
Remove from Service a Minimum of 125 miles[1]	≥ 125 miles	8	NRA	**138**	0	$0	
LPP Removal Incentive (2 BP for each full mile of LPP removed above incentive threshold (up to 10 BP Per Year)	≥ 136 miles	≤ 10	PRA	**138**	4		$660,012
Leak Management							
Workable Leaks Backlog (Type 1, 2, 2A)	≤ 25	8	NRA	**0**	0	$0	
Total Leaks Backlog (Type 1, 2, 2A, 3)	≤ 9,250	4	NRA	**8,199**	0	$0	
Leak Repair Incentive[2] (1 BP for each 50 incremental leaks eliminated (above the Type 3 leak reduction targets) from list of the highest emitting Type 3 leaks)	≥ 50	≤ 5	PRA	**275**	5		$825,015
Damage Prevention							
Overall Damages per 1,000 One-Call Tickets	≤ 2.48	4	NRA	**1.70**	0	$0	
Damages Due to Mismarks per 1,000 One-Call Tickets	≤ 0.60	10	NRA	**0.49**	0	$0	
Damages Due to Company and Contractors per 1,000 One-Call Tickets	≤0.13	4	NRA	**0.09**	0	$0	
Emergency Response							
Percent of All Gas Leak and Odor Calls Within 30 Minutes	≥75%	6	NRA	**77.2%**	0	$0	
Percent of All Gas Leak and Odor Calls Within 45 Minutes	≥90%	4	NRA	**95.9%**	0	$0	
Percent of All Gas Leak and Odor Calls Within 60 Minutes	≥95%	2	NRA	**99.7%**	0	$0	
Gas Safety Regulations Performance Metric		≤ 100 total[3]	NRA				
High Risk Violations		per occurrence[4]					
	1-10	1/4	NRA	**TBD**			
	11-20	1/2	NRA	**TBD**			
	≥21	1	NRA	**TBD**			
Other Risk Violations	1-25	1/9	NRA	**TBD**			
	≥26	1/3	NRA	**TBD**			

Abbreviations
NRA = Negative Revenue Adjustment
PRA = Positive Revenue Adjustment
BP = Basis Point (1 BP = $165,003)

Notes:
(1) Cumulative three-year total of 405 miles by the end of CY 2019. Through 2018, 253.9 miles reporte
(2) KEDLI must achieve both annual backlog reduction targets to qualify for this incentive. The list of highest emitting Type 3 leaks was filed on March 15, 2017 in Case 16-G-0058.
(3) Total NRA for high risk and other risk violations capped at 100 BP per calendar year
(4) The number of occurrences of noncompliance with each high risk and other risk violation is capped at 10 per calendar year

nationalgrid

PSC Case 17-G-0239
Niagara Mohawk Power Corporation d/b/a National Grid
Gas Safety Performance Metrics Report
For Calendar Year 2018

Attachment 3

	TARGET	Basis Points at Risk for NRA / to be Earned for PRA	NRA or PRA	ACTUAL YTD RESULTS THROUGH 31-Dec-2018	Actual Basis Points Incurred or Earned	Penalty Incurred	Incentive Earned
LPP Removal							
Remove from Service a Minimum of 45 miles[1]	≥ 45 miles	8	NRA	**52.1**	0	$0	
LPP Removal Incentive (2 BP for each full mile of LPP removed above incentive threshold (up to 10 BP Per Year)	≥ 50 miles	≤ 10	PRA	**52.1**	4		$320,180
Leak Management							
Workable Leak Backlog (Type 1, 2, 2A)	≤ 25	8	NRA	**0**	0	$0	
Total Leaks Backlog (Type 1, 2, 2A, 3)	≤ 925	4	NRA	**815**	0	$0	
Leak Repair Incentive (1 BP for each 50 incremental leaks eliminated)	≤ 925	≤ 5	PRA	**815**	2		$160,090
Damage Prevention							
Overall Damages per 1,000 One-Call Tickets	< 2.25	9	NRA	**1.79**	0	$0	
Damage Prevention Incentive	1.5 - 2.0	3	PRA	**1.79**	3		$240,135
Emergency Response							
Percent of All Gas Leak and Odor Calls Within 30 Minutes	≥75%	6	NRA	**80.5%**	0	$0	
Percent of All Gas Leak and Odor Calls Within 45 Minutes	≥90%	4	NRA	**95.2%**	0	$0	
Percent of All Gas Leak and Odor Calls Within 60 Minutes	≥95%	2	NRA	**98.9%**	0	$0	
Emergency Response Incentive Percent of All Gas Leak and Odor Calls Within 30 Minutes	86% - 88%	2	PRA	**80.50%**	0		$0
Gas Safety Regulations Performance Metric		≤ 100 total [2]	NRA				
Records Audit - High Risk Violations		per occurrence					
	1-10	0	NRA	**TBD**			
	11-40	1/2	NRA	**TBD**			
	>41	1	NRA	**TBD**			
Records Audit - Other Risk Violations	1-30	0	NRA	**TBD**			
	≥31	1/3	NRA	**TBD**			
Field Audit - High Risk Violations		per occurrence					
	1-40	1/2	NRA	**TBD**			
	≥41	1	NRA	**TBD**			
Field Audit - Other Risk Violations	All	1/3	NRA	**TBD**			

Abbreviations
NRA = Negative Revenue Adjustment
PRA = Positive Revenue Adjustment
BP = Basis Points (1 BP = $80,045)

Notes:
(1) Cumulative three-year total of 150 miles by the end of CY 2020. Through 2018, 52.1 miles reported.
(2) Total NRA for high risk and other risk violations capped at 100 BP per calendar year

Summary of First Responder Training Plans for 2019

The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid (collectively, "National Grid" or "Company") have provided training to first responders (fire, police, and ambulance) on gas safety for years. The first responder training program provides emergency response personnel with a solid understanding of utility hazards and includes practical guidance to aid first responders in safely identifying and responding to incidents involving natural gas pipelines and facilities. National Grid's first responder program includes a combination of online and in-person gas safety training and education, as well as integrated field response drills as summarized below.

E-Learning Modules

National Grid has developed a comprehensive, interactive set of e-learning training modules on gas safety issues, including gas distribution basics, the properties and characteristics of natural gas, carbon monoxide poisoning, gas incident management, and response tactics for incidents involving liquefied natural gas. The modules are available to fire and police departments and municipalities, and include free safety materials such as workbooks, training presentations, and training guides. The training modules are self-paced and include knowledge checks for each chapter to gauge the user's basic understanding. They provide natural gas case studies and scenarios, as well as access to National Grid's transmission pipeline system and the Pipeline and Hazardous Materials Safety Administration's ("PHMSA") National Pipeline Mapping System training. External agencies may also submit a request for additional first responder training opportunities.

In 2018, the Company launched two new modules: "Responding to Solar Emergencies" and downloadable "Group Training Exercises." The Responding to Solar Emergencies helps first responders build a knowledge base on photovoltaic solar system basics, understand structural risks, roof and ground access limitations, shock hazards, toxic byproduct of combustion and other risks associated with solar systems, and addresses incident response precautions that should be taken when responding to emergencies involving solar systems. National Grid also identified the need to supplement its e-learning program to enable first responders to experience elements of the current training in a group setting to promote consistency among the entire team. Group Training Exercises will cover the top four most frequent natural gas-related fire service calls with real-world scenarios and Q&A learning practices. The training exercises are downloadable from National Grid's training website and can be printed and used by training officers on their own, when conducting their own training seminars, and as a supplement to National Grid's e-learning certification program. Natural gas group training exercises include:

- Gas main leak with no ignition
- Gas service leak with ignition

- Gas odor with source unknown
- Residents overcome by carbon monoxide

In-Person Training and Presentations

National Grid's Pipeline Safety Public Awareness Liaisons have conducted seven first responder presentations to police and fire departments in 2019 for KEDLI with plans to continue the presentations throughout the year. The Company also took part in the March 2019 Long Island Fire, Rescue & EMS MEGA SHOW to promote the National Grid First Responder Utility Safety e-Learning Training program to a very broad first responder audience. KEDNY continues to have ongoing discussions with the Fire Department of the City of New York ("FDNY") on training opportunities, including the potential use of the Company's e-learning at the FDNY Training Academy at Randall's Island. In addition, National Grid's Pipeline Safety Public Awareness Liaison presented to officers that are part of the NYPD School Safety Program. The public awareness presentations include walk throughs of the e-learning modules as well as sharing additional information about training resources, e-learning safety content, training program design, reference sheets, testimonials, and contact information for increased communication and coordination between first responders and the Company. The Company is continuing to evaluate additional opportunities for in-person training including the development of an offline, instructor-led classroom program. Feedback from the first responder community has indicated a need for a classroom environment program in which students will be engaged through slide presentation, group discussions, and quizzes.

Integrated Tabletop Exercises and Field Response Drills

National Grid is planning field response drills to facilitate corporate preparedness by enabling Company participants to test and validate emergency plans and capabilities, and identify capability gaps and areas for improvement to prevent, protect against, mitigate, respond to, and recover from any variety of hazards. The exercises further promote:

- employee experience with emergency event evaluation and interaction with external agency members and Company representatives;
- a refresh for employees on their annual emergency response plan training;
- evaluation of the established emergency management system by facilitators and through feedback from participants; and
- continual improvement of the emergency management program.

The Company integrates external partners and first responders into its drills and exercises to build knowledge of activities implemented by external partners, establish working relationships and improve communication and coordination that can be leveraged during real incidents.

National Grid's Emergency Planning department is currently holding planning sessions with first responders for one tabletop exercise that will incorporate real-world scenarios and a review of the processes and procedures to be used during an incident. Another is scheduled for the third quarter of 2019:

NYC: Tabletop gas emergency exercise in Greenpoint, NY simulating an incident that affects approximately 25,000 high and low-pressure customers. This exercise is currently being planned for April 17, 2019.

Long Island: Tabletop gas emergency exercise scheduled for September 2019.

Increased Communication and Coordination

National Grid's first responder training will continue to enhance communication and coordination between the Company's field personnel and fire departments and other first responders in National Grid's downstate service territory. National Grid's first responder training program was designed in collaboration with fire chiefs, safety trainers, educational experts and instructional design professionals. New content, format and material types are continuously developed and updated with the assistance of first responder peer groups. National Grid promotes the availability of its training with first responders through Public Awareness Liaison presentations, social media, e-mail, and direct mail (quarterly).

nationalgrid

Tae Kim
Senior Counsel
Legal Department

July 30, 2019

VIA ELECTRONIC DELIVERY
Gas Safety Section
New York State Department of Public Service
Office of Electric, Gas, and Water
Three Empire State Plaza, 19th Floor
Albany, New York 12223

Re: National Grid Gas Safety Performance Measures Data – Second Quarter 2019

To the Gas Safety Section of the Department of Public Service ("Staff"):

Pursuant to Staff's "2016 Gas Safety Performance Measure Guidance and Instructions," dated December 11, 2015 ("Performance Measures Instructions"), as adopted by the Commission in its "Order Releasing Report and Providing Guidance on Response" (Issued and Effective April 20, 2016) in Cases 13-M-0314 and 15-M-0566 ("Order"), Niagara Mohawk Power Corporation d/b/a National Grid, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid (collectively, "National Grid" or "Companies") hereby submit their reports ("Reports") on gas safety performance measures data for the second quarter of calendar year 2019. The Reports contain data on National Grid's performance in the areas of gas emergency response, leak management, and damage prevention in the format requested by the Performance Measures Instructions. In accordance with the "Final Report of the Operations Audit of the Accuracy of New York State Utilities' Self-Reported Data" prepared by Overland Consulting for the Commission, as modified by the Order, National Grid is also providing time duration graphs for emergency response times.

As noted in the "Comments" included in these Reports, the data contained therein may be reported differently for purposes of the Gas Safety Performance Metrics established in the Companies' respective rate plans. National Grid will continue to separately track and report on its performance under the Gas Safety Performance Metrics contained in the Companies' current rate plans in a manner consistent with the reporting methodologies used to develop the performance targets for those metrics.

Please contact me if you have any questions regarding this filing. Thank you for your attention to this matter.

Respectfully submitted,

/s/ Tae Kim
Tae Kim

Attachments

Exhibit ___ (GSP-3R)

Companies' Damage Prevention IR Responses in Case 13-G-0314

Date of Request: October 13, 2017 Request No. DPS-025 JH-025
Due Date: October 23, 2017 NGRID Req. No. NGRID-11

KEYSPAN GAS EAST CORPORATION d/b/a National Grid
THE BROOKLYN UNION GAS COMPANY d/b/a National Grid NY
NIAGARA MOHAWK POWER CORPORATION d/b/a National Grid
Case 13-M-0314
Focused Operations Audit of Utilities' Reported Data

IMPLEMENTATION

Request for Information

FROM: DPS Staff, John Holst

TO: National Grid

SUBJECT: Recommendation: NGRID Gas 2-5, 6-6, 7-7

Request:

In its Implementation Plan for Recommendation 2-5, 6-6, and 7-7, National Grid states that tickets that it terms as "relocates" for KEDNY & KEDLI and "Reissues/Recalls" for NMPC will be included in the one-call ticket for gas safety performance measures.
Gas Safety SMEs have rejected the implementation plan for this recommendation. The Gas Safety Performance Measure Guidance, distributed on December 11, 2015, states "Retransmits, or refreshes, are defined as any one-call ticket which has the same requesting party and location of the proposed scope of work. Retransmits, or refreshes, are excluded from the total performance." The one-call tickets that National Grid terms "relocates" or "Reissues/recalls" are tickets with the same requesting party and location of the proposed scope of work, therefore should be excluded from the one-call ticket count for the purpose of gas safety performance reporting.

Response:

National Grid disagrees with Gas Safety Staff's position that "relocates" for KEDNY and KEDLI and "reissues/recalls" for NMPC should be excluded from the one-call ticket count for purposes of gas safety performance reporting. In that regard, gas safety performance reporting must be distinguished between the Quarterly Performance Reports required by the *2016 Gas Safety Performance Measure Guidance and Instructions* (dated December 11, 2015) ("Staff Guidance Document") and the Annual Gas Safety Performance Metrics report submitted as part of the Company's rate plans. The calculation and reporting of the damage prevention metric in these reports has some differences.

First, Recommendation 2-5 required the Company to describe in its Implementation Plan the one-call tickets included and excluded in the damage prevention metric. In accordance with the recommendation, the Company's Implementation Plan, which was filed on May 19, 2016 in Case 13-M-0314, explained that "relocates" for KEDNY and KEDLI and "reissues/recalls" for NMPC are properly included in the metric. Specifically, while these tickets have the same requesting party and work location, they are different than "retransmit" or "refresh"[1] tickets that the Staff's Guidance Document indicates should be excluded from the metric. "Relocate" tickets for KEDNY and KEDLI and "reissues/recall" tickets for NMPC are issued when the original ticket has expired (*e.g.*, construction was delayed, which could range from weeks to months) or circumstances have caused the original mark-out to become unreliable (*e.g.*, weather or construction activities have caused the mark-out to fade or disappear). In these circumstances, the one-call ticket center issues "relocate" or "reissues/recall" tickets, which require the Company to physically respond to the location and re-mark its facilities as if the first ticket was never issued. In contrast, a "retransmit" ticket is typically issued by the one-call center if the Company did not respond to the first ticket. KEDNY, KEDLI, and NMPC agree that a "retransmit" ticket should be excluded from the damage prevention metric. However, the Company believes that because it is responding a second time and re-marking its facilities, "relocates" for KEDNY and KEDLI and "reissues/recalls" for NMPC should be included in the metric.

Second, the Commission approved the Company's Implementation Plan and directed National Grid to implement the plan in its *Order Approving Implementation Plans* in Case 13-M-0314 (issued and effective March 10, 2017) ("March 2017 Order") (at 3).[2] The Company does not believe that Gas Safety Staff's subsequent rejection of the plan is in keeping with the March 2017 Order. As stated at page 5 of the March 2017 Order, Public Service Law Section 66(19) authorizes the Commission to approve a utility's implementation plan, at which time the implementation plan becomes enforceable. The Commission, in approving the Company's Implementation Plan, did not require any change to the Company's filed plan relative to one-call tickets.

Finally, as discussed in the Commission's *Order Releasing Report and Providing Guidance on Response* in Case 13-M-0314 (issued and effective April 20, 2016) ("April 2016 Order") (at 21-22), the recommendations in the Audit Report do not apply to the gas safety performance metrics contained in the Company's rate plans. In the 2016 KEDLI and KEDNY Rate Cases (Cases 16-G-0058 and 16-G-0059), KEDLI and KEDNY carefully explained the changes it made to the damage prevention metric to address the audit recommendations. These changes included excluding "retransmit" tickets and including coating damage in the calculation of the metric, both of which resulted in an adjustment to the damage prevention targets (*see* the Company's Gas Safety Panel's Direct Testimony at 54 of 64). Importantly, KEDLI and KEDNY did not reflect any changes to its historic practice of including "relocates" in the ticket count used to set the target for the metric. Similarly, NMPC, in its current rate case (Case 17-G-0239), has not reflected a change to the metric to remove "reissues/recalls" from the calculation. As such, the Company will continue to report the damage prevention metric contained in its rate plans

[1] Note that there are no "refresh" tickets for NMPC, KEDNY, or KEDLI.

[2] In the March 2017 Order (at 26), the Commission noted that utilities were able to comment on and oppose inclusion of the Staff Guidance Document in their implementation plans.

consistent with the methodology used to set the performance targets, in accordance with the April 2016 Order.

For these reasons, the Company does not believe that "relocates" for KEDNY and KEDLI and "reissues/recalls" for NMPC should be excluded from the one-call ticket count for purposes of gas safety performance reporting. If Gas Safety Staff continues to disagree and believes that a change is required, the Company could exclude these tickets solely for the purposes of the Quarterly Performance Reports. However, the Company sees little benefit in having to separately track and report this data.

Name of Respondent:
John Fiume
Robert Terjesen

Date of Reply:
October 23, 2017

Date of Request: October 13, 2017 Request No. DPS-025 JH-025 SUPPLEMENTAL
Due Date: October 23, 2017 NGRID Req. No. NGRID-11

KEYSPAN GAS EAST CORPORATION d/b/a National Grid
THE BROOKLYN UNION GAS COMPANY d/b/a National Grid NY
NIAGARA MOHAWK POWER CORPORATION d/b/a National Grid
Case 13-M-0314
Focused Operations Audit of Utilities' Reported Data

IMPLEMENTATION

Request for Information

FROM: DPS Staff, John Holst

TO: National Grid

SUBJECT: Recommendation: NGRID Gas 2-5, 6-6, 7-7

Request:

In its Implementation Plan for Recommendation 2-5, 6-6, and 7-7, National Grid states that tickets that it terms as "relocates" for KEDNY & KEDLI and "Reissues/Recalls" for NMPC will be included in the one-call ticket for gas safety performance measures.
Gas Safety SMEs have rejected the implementation plan for this recommendation. The Gas Safety Performance Measure Guidance, distributed on December 11, 2015, states "Retransmits, or refreshes, are defined as any one-call ticket which has the same requesting party and location of the proposed scope of work. Retransmits, or refreshes, are excluded from the total performance." The one-call tickets that National Grid terms "relocates" or "Reissues/recalls" are tickets with the same requesting party and location of the proposed scope of work, therefore should be excluded from the one-call ticket count for the purpose of gas safety performance reporting.

Response:

Pursuant to discussions with Gas Safety Staff, National Grid agrees to exclude "relocates" (for KEDNY and KEDLI) and "reissues/recalls" (for NMPC) from the one-call ticket count for purposes of the "Analysis of Damages on Gas Corporation Facilities" Quarterly Performance Reports, beginning with the first quarter report in calendar year 2018. However, for purposes of the damage prevention performance measure established in the 2016 KEDLI and KEDNY rate cases (Cases 16-G-0058 and 16-G-0059), as well as the damage prevention performance measure for NMPC in its current rate case (Case 17-G-0239), National Grid will continue to include "relocates" and "reissues/recalls" in the one-call ticket count, consistent with the methodology used to establish the targets in those cases.

This agreement should not be construed as a concession by National Grid that these tickets should be excluded from the damage prevention performance measure in a future rate proceeding. The Company strongly believes that the inclusion of these tickets is appropriate given that they require the Company to re-mark its facilities as if the first ticket was never issued.

Name of Respondent:
John Fiume
Robert Terjesen

Date of Reply:
November 2, 2017

Exhibit ___ (GSP-4R)

Relevant portions of the Companies' Implementation Plan filed on May 16, 2016 and the Companies' Updated Plan filed on March 8, 2018 in Case 13-G-0314

nationalgrid

Patric R. O'Brien
Assistant General Counsel

May 19, 2016

VIA ELECTRONIC FILING

Honorable Kathleen H. Burgess
Secretary
New York State Public Service Commission
Three Empire State Plaza
Albany, New York 12223-1350

Re: Case 13-M-0314 – Issue a Request for Proposal for an Independent Third-Party Consultant to Conduct a Review of the Accuracy and Effectiveness of Certain Reliability and Customer Service Systems at all Gas and Combination Gas and Electric Utilities in New York State that Provide Statistics to the Commission on the Services They Provide Customers

Case 15-M-0566 – In the Matter of Revisions to Customer Service Performance Indicators Applicable to Gas and Electric Corporations

Dear Secretary Burgess:

The Brooklyn Union Gas Company d/b/a National Grid NY, KeySpan Gas East Corporation d/b/a National Grid, and Niagara Mohawk Power Corporation d/b/a National Grid submit their Implementation Plan for the audit recommendations contained in the April 2015 *Operations Audit of the Accuracy of New York State Utilities' Self-Reported Data* prepared by Overland Consulting for the Public Service Commission, as modified by the *Order Releasing Report and Providing Guidance on Response* issued and effective April 20, 2016 in the above matters.

Should you have any questions about the Implementation Plan, please do not hesitate to contact me. Thank you for your time and attention.

Respectfully submitted,

Patric R. O'Brien
Patric R. O'Brien

Attachment

cc: John Holst

40 Sylvan Road, Waltham, MA 02451
T: 781.907.1850 ■ F: 781.907.5701 ■ patric.r.obrien@nationalgrid.com ■ www.nationalgrid.com

Operations Audit of the Accuracy of New York State Utilities' Self-Reported Data

Case No. 13-M-0314

IMPLEMENTATION PLAN

PREPARED FOR:

THE STATE OF NEW YORK PUBLIC SERVICE COMMISSION
THREE EMPIRE STATE PLAZA
ALBANY, NEW YORK 12223

May 19, 2016

nationalgrid

GAS SAFETY – Damage Prevention

Chapters 2, 6 and 7

Recommendations 2-5, 6-6 and 7-7

Recommendation 2-5. Each company should submit to the NYSPSC a detailed description of the types of activity it includes or excludes from its one-call ticket counts used in the computation of damage prevention performance metrics. For companies that use more than one one-call system, this exercise should be performed for both systems. Using these descriptions as a guide, the utilities and the NYSPSC should agree on the inclusion or exclusion of each different type of one-call system activity for purposes of computing performance metrics. To the extent that any company's prior year results are not retrospectively restated in the next Gas Safety Performance Measures Report to conform to this agreement, a prominent disclosure should be made indicating that they were prepared on a basis different from the current year.

Recommendation 6-6. If KEDNY cannot convince its one-call system to provide retransmitted ticket counts, it should develop a logical and transparent method to estimate them using the data that is available from its ticket management system. These retransmitted ticket quantities should be excluded from the one-call ticket counts employed in the damage prevention performance metrics filed with the PSC.

Recommendation 7-7. If KEDLI cannot convince its one-call system to provide retransmitted ticket counts, it should develop a logical and transparent method to estimate them using the data that is available from its ticket management system. These retransmitted ticket quantities should be excluded from the one-call ticket counts employed in the damage prevention performance metrics filed with the PSC.

Implementation Leads

Executive Sponsor:	Robert De Marinis, Vice President – Maintenance and Construction NY Gas
Team Lead(s):	Robert Terjesen, Manager – Damage Prevention DNY John Fiume, Manager – Damage Prevention UNY

Implementation Priority: Completed

Recommendation Accepted: Yes

Proposal to Implement Recommendation

The recommendations are complete. Pursuant to Recommendation 2-5, the Companies list below the activities that are included and excluded from their one-call ticket counts. As will be

discussed, the downstate and upstate New York one-call systems have different definitions of tickets.

KEDNY and KEDLI

KEDNY and KEDLI's one-call system (New York 811) historically did not segregate retransmitted tickets. Therefore, retransmits were included in KEDNY and KEDLI's one-call ticket counts. Overland recommends that KEDNY and KEDLI exclude retransmits (Recommendations 6-6 and 7-7). The Performance Measures Instructions define a "retransmit" as follows (using the term "retransmit" or "refresh" interchangeably):

> Retransmits, or refreshes, are defined as any one-call ticket which has the same requesting party and location of the proposed scope of work. Retransmits, or refreshes, are excluded from the total performance.

In KEDNY and KEDLI's service territories, a retransmit typically occurs when an excavator requests the one-call center to "retransmit" a ticket to a locator that did not respond to the original ticket. If KEDNY and KEDLI responded to the initial ticket and marked out their facilities, no further action is required. The downstate New York one-call system is now able to segregate these tickets and KEDNY and KEDLI have implemented the recommendations to exclude retransmitted tickets. KEDNY and KEDLI's Quarterly Performance Filing excludes retransmits from the ticket count, and the proposed damage prevention targets in the 2016 Rate Cases reflect this exclusion as well. There are no "refresh" tickets in downstate New York.

KEDNY and KEDLI's downstate New York one-call system also has a ticket called a "relocate." A relocate occurs when the one-call center issues a ticket and KEDNY and KEDLI respond and mark-out their facilities. Thereafter, the excavator contacts the one-call center to issue a second ticket, or a "relocate," for KEDNY and KEDLI to re-mark their facilities (*e.g.,* where the excavation is delayed to the point that the original mark-out is no longer reliable or valid (*i.e.,* beyond the ten day limit) or conditions such as weather or construction cause the original mark-out to fade or disappear). Although the ticket has the same requesting party and location, this is not a retransmit because KEDNY and KEDLI must respond again and relocate and re-mark their facilities as if they had not been located and marked in the first instance. Relocate tickets are included in the one-call ticket count for purposes of measuring KEDNY and KEDLI's damage prevention performance.

NMPC

NMPC's upstate one-call system (Dig Safely New York) has three types of one-call tickets:

- *Retransmits* – New York 811 defines a retransmit differently than Dig Safely New York. A retransmit in upstate New York occurs when there is an issue with transmitting the ticket to the locator. Retransmits are excluded from NMPC's ticket count.

- *Resends/Revisions* – A resend/revision is similar to a retransmit ticket in downstate New

York. Resends/revisions are excluded from NMPC's ticket count.

- *Reissues/Recalls* – A reissue/recall is similar to a relocate ticket in downstate New York. Reissues/recalls are included in NMPC's one-call ticket count.

Schedule

N/A

Summary of Cost/Benefit and Risk Analysis

Benefits include clarity and consistency among the utilities in reporting the damage prevention metrics included in the Quarterly Performance Filing.

nationalgrid

Patric R. O'Brien
Assistant General Counsel

March 8, 2018

VIA ELECTRONIC FILING

Honorable Kathleen H. Burgess
Secretary
New York State Public Service Commission
Three Empire State Plaza
Albany, New York 12223-1350

Re: Case 13-M-0314 – Issue a Request for Proposal for an Independent Third-Party Consultant to Conduct a Review of the Accuracy and Effectiveness of Certain Reliability and Customer Service Systems at all Gas and Combination Gas and Electric Utilities in New York State that Provide Statistics to the Commission on the Services They Provide Customers

Case 15-M-0566 – In the Matter of Revisions to Customer Service Performance Indicators Applicable to Gas and Electric Corporations

Dear Secretary Burgess:

In accordance with the *Order Approving Implementation Plans* issued and effective March 10, 2017, The Brooklyn Union Gas Company d/b/a National Grid NY, KeySpan Gas East Corporation d/b/a National Grid, and Niagara Mohawk Power Corporation d/b/a National Grid (collectively, "National Grid") submit their March 2018 Implementation Plan Update for the audit recommendations contained in the April 2015 *Operations Audit of the Accuracy of New York State Utilities' Self-Reported Data* prepared by Overland Consulting for the Public Service Commission, as modified by the *Order Releasing Report and Providing Guidance on Response* issued and effective April 20, 2016 in the above matters.

As noted in the update, National Grid believes that all recommendations have been implemented, subject to Department of Public Service Staff's review and acceptance.

Should you have any questions about the Implementation Plan Update, please do not hesitate to contact me. Thank you for your time and attention.

Respectfully submitted,

Patric R. O'Brien
Patric R. O'Brien

Attachment

cc: John Holst

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T: 781.907.1850 ■ F: 781.907.5701 ■ patric.r.obrien@nationalgrid.com ■ www.nationalgrid.com

Operations Audit of the Accuracy of New York State Utilities' Self-Reported Data

Case No. 13-M-0314

IMPLEMENTATION PLAN UPDATE

PREPARED FOR:

THE STATE OF NEW YORK PUBLIC SERVICE COMMISSION
THREE EMPIRE STATE PLAZA
ALBANY, NEW YORK 12223

March 8, 2018

nationalgrid

GAS SAFETY – Damage Prevention

Chapters 2, 6 and 7

Recommendations 2-5, 6-6 and 7-7

Recommendation 2-5. Each company should submit to the NYSPSC a detailed description of the types of activity it includes or excludes from its one-call ticket counts used in the computation of damage prevention performance metrics. For companies that use more than one one-call system, this exercise should be performed for both systems. Using these descriptions as a guide, the utilities and the NYSPSC should agree on the inclusion or exclusion of each different type of one-call system activity for purposes of computing performance metrics. To the extent that any company's prior year results are not retrospectively restated in the next Gas Safety Performance Measures Report to conform to this agreement, a prominent disclosure should be made indicating that they were prepared on a basis different from the current year.

Recommendation 6-6. If KEDNY cannot convince its one-call system to provide retransmitted ticket counts, it should develop a logical and transparent method to estimate them using the data that is available from its ticket management system. These retransmitted ticket quantities should be excluded from the one-call ticket counts employed in the damage prevention performance metrics filed with the PSC.

Recommendation 7-7. If KEDLI cannot convince its one-call system to provide retransmitted ticket counts, it should develop a logical and transparent method to estimate them using the data that is available from its ticket management system. These retransmitted ticket quantities should be excluded from the one-call ticket counts employed in the damage prevention performance metrics filed with the PSC.

Implementation Leads

Executive Sponsor:	Robert De Marinis, Vice President – Maintenance and Construction NY Gas
Team Lead(s):	Robert Terjesen, Manager – Damage Prevention DNY John Fiume, Manager – Damage Prevention UNY

Implementation Priority: Medium

Recommendation Accepted: Yes

Current Status: Pending Review

The recommendations are complete pending Staff's review and acceptance. Pursuant to Recommendation 2-5, the Companies list below the activities that are included and excluded

from their one-call ticket counts. As discussed below, the downstate and upstate New York one-call systems have different definitions of tickets.

KEDNY and KEDLI

KEDNY and KEDLI's one-call system (New York 811) historically did not segregate retransmitted tickets. Therefore, retransmits were included in KEDNY and KEDLI's one-call ticket counts. Overland recommends that KEDNY and KEDLI exclude retransmits (Recommendations 6-6 and 7-7). The Performance Measures Instructions define a "retransmit" as follows (using the term "retransmit" or "refresh" interchangeably):

> Retransmits, or refreshes, are defined as any one-call ticket which has the same requesting party and location of the proposed scope of work. Retransmits, or refreshes, are excluded from the total performance.

In KEDNY and KEDLI's service territories, a retransmit typically occurs when an excavator requests the one-call center to "retransmit" a ticket to a locator that did not respond to the original ticket. If KEDNY and KEDLI responded to the initial ticket and marked out their facilities, no further action is required. The downstate New York one-call system is now able to segregate these tickets and KEDNY and KEDLI have implemented the recommendations to exclude retransmitted tickets. KEDNY and KEDLI's Quarterly Performance Filing excludes retransmits from the ticket count, and the damage prevention targets established in the 2016 Rate Cases reflect this exclusion as well. There are no "refresh" tickets in downstate New York.

KEDNY and KEDLI's downstate New York one-call system also has a ticket called a "relocate." A relocate occurs when the one-call center issues a ticket and KEDNY and KEDLI respond and mark-out their facilities. Thereafter, the excavator contacts the one-call center to issue a second ticket, or a "relocate," for KEDNY and KEDLI to re-mark their facilities (*e.g.,* where the excavation is delayed to the point that the original mark-out is no longer reliable or valid (*i.e.,* beyond the ten day limit) or conditions such as weather or construction cause the original mark-out to fade or disappear). Although the ticket has the same requesting party and location, this is not a retransmit because KEDNY and KEDLI must respond again and relocate and re-mark their facilities as if they had not been located and marked in the first instance. Relocate tickets are included in the one-call ticket count for purposes of measuring KEDNY and KEDLI's damage prevention performance.

NMPC

NMPC's upstate one-call system (Dig Safely New York) has three types of one-call tickets:

- *Retransmits* – New York 811 defines a retransmit differently than Dig Safely New York. A retransmit in upstate New York occurs when there is an issue with transmitting the ticket to the locator. Retransmits are excluded from NMPC's ticket count.

- *Resends/Revisions* – A resend/revision is similar to a retransmit ticket in downstate New

York. Resends/revisions are excluded from NMPC's ticket count.

- *Reissues/Recalls* – A reissue/recall is similar to a relocate ticket in downstate New York. Reissues/recalls are included in NMPC's one-call ticket count.

Update 11/6/17

Per the Company's response to Information Request No. DPS-025 (JH-025) and DPS-025 (JH-025) (Supplemental), National Grid has agreed to exclude "relocates" (for KEDNY and KEDLI) and "reissues/recalls" (for NMPC) from the one-call ticket count for purposes of the "Analysis of Damages on Gas Corporation Facilities" Quarterly Performance Filing, beginning with the first quarter report in calendar year 2018. However, for purposes of the damage prevention metric established in the 2016 KEDLI and KEDNY Rate Cases, as well as the damage prevention metric for NMPC in its current rate case (Case 17-G-0239), National Grid will continue to include "relocates" and "reissues/recalls" in the one-call ticket count, consistent with the methodology used to establish the targets in those cases.